📝 Notes

Mar 20, 2026

Tony and Tom

Invited Tom King tony.vinelott@btinternet.com

Attachments Tony and Tom

Meeting records Transcript

Summary

Review of tax prioritization and investment strategy covered high-risk investment schemes, portfolio management features, and the importance of inheritance tax planning.

High-Risk Tax Strategy Review
The historical investment strategy focused on tax minimization using pensions, ISAs, and VCTs, but the current tool requires development work to account for ongoing tax-related allocations like VCTs and EIS. The tool must clarify tax optimization concerning risk and account for the potential failure of high-risk EIS and SEIS investments.

EIS Portfolio Building Strategy
Access to the tax optimization feature must be conditional on the user demonstrating an understanding of the high risks involved with EIS, requiring a non-patronizing educational component. Unlock Access aims to secure investment allocations and pass cost savings directly to subscribers via a transparent fee structure to maximize investor benefits.

Inheritance Tax and Trusts
The need to track the 7-year inheritance tax period for gifted assets like property and collectibles was emphasized, along with the continuously building IHT-free assets like EIS and AIM investments. Discretionary trusts

are being considered for grandchildren as a way to allow money to grow free of capital gains and income tax while ensuring asset protection.

Details

- **Review of Tax Prioritization and Investment Strategy**: Tony Vinelott explained their historical investment approach, prioritizing tax minimization, which resulted in paying only about 20 to 30 thousand in tax most years, despite their income. This was achieved through utilizing pensions, Individual Savings Accounts (ISAs), and Venture Capital Trusts (VCTs) (00:00:47). The discussion shifted to a sensitive personal experience regarding the negative financial implications resulting from the late spouse electing to annuitize two pensions at a criminal rate of 2%, which ultimately cost Tony Vinelott about 4.2 million (00:01:41).
- **Inheritance Tax Relief and Enterprise Investment Schemes (EIS)**: The discussion moved to the topic of EIS and inheritance tax, noting that EIS shares qualify for 100% inheritance tax relief after being held for two years. Tom King's Presentation observed that the current tool being discussed does not account for the user's annual tax allocations, such as maximizing VCTs or building an EIS portfolio, which is critical for accurate predictions. Tom King's Presentation realized that the current tool design, focused on "deumialization," does not allow for ongoing tax-related allocations, indicating a need for significant development work (00:03:47).
- **Risk and Tax Optimization in Investment Tools**: Tom King's Presentation noted that while the tool allows for optimizing tax, it needs to clarify what that means in practice, especially concerning risk and predictive data points. Because EIS and Seed Enterprise Investment Schemes (SEIS) involve high risk, the tool must account for the possibility of these investments failing, which could significantly alter the user's financial timeline (00:04:54). Tony Vinelott confirmed that the high-risk nature of these investments is why they offer tax benefits (00:06:06).
- **Investment Incentives and Risk Sharing**: The participants discussed the structure of tax-advantaged investment schemes, noting that risk is a necessary component to prevent universal adoption. If investing tax funds carried no risk, everyone would participate, which suggests that the system is designed to keep certain people "locked out" (00:07:09). Tony Vinelott added that the reduction of benefits on VCTs, subsequent to putting a squeeze on pensions, has left higher

earners seeking alternative places to invest their money, often turning toward VCTs (00:08:03).

- **EIS Horizon and Portfolio Building**: Tom King's Presentation mentioned that the current terms of EIS and SEIS are legally locked until 2035, with future extensions likely, emphasizing the clear benefit of building an EIS portfolio (00:09:05). They proposed that if the tool encourages building an EIS portfolio, there should be an educational component, potentially modeled after a program they saw Amazon use, to ensure the investor understands the intricacies of the scheme. The goal is for the investor to grasp diversification, due diligence, and risk (00:10:15).
- **Requiring Demonstrated Understanding of Investment Risks**: The participants agreed that access to the tax optimization feature within the tool should be conditional on the user demonstrating they understand the risks involved (00:11:40). Tom King's Presentation stressed the need for an educational component without being "patronizing" and for the user to confirm their understanding before pursuing a high-risk approach like building an EIS portfolio (00:13:29). Tony Vinelott underlined that the user must appreciate that the invested money is significantly at risk, even if average returns are projected to be high (00:14:16).
- **Role of Unlock in Portfolio Management**: Tom King's Presentation suggested that the "Unlock" platform could be highly beneficial by providing support for proper administration, such as claiming EIS relief and managing the portfolio effectively. This necessitates a portfolio management feature to track company performance. Tony Vinelott detailed their VCT strategy of holding investments for five years to gain the 30% benefit, selling, and using the proceeds for the next purchase to get another tax break (00:15:08).
- **Private Placement and Platform Strategy**: The conversation addressed the tradability of EIS stocks, particularly in the context of individual private placements. Tom King's Presentation stated that Unlock's strategy involves facilitating private placement, particularly for well-performing EIS businesses, while cautioning against facilitating placements for struggling businesses (00:16:00). They acknowledged the importance of tracking insider activity, such as director sales, as an indicator of a company's health (00:17:01).
- **Analysis of VCT Performance and Returns**: Tom King's Presentation questioned Tony Vinelott about their VCT losses, which Tony Vinelott confirmed were due to the fund being worth significantly less five years later (00:17:56). Tony Vinelott

mentioned that a significant investment in Octopus funds, a VCT, had lost 80% of its value (00:18:41). A financial advisor, Cindy, had pointed out that factoring in the 30% tax rebate, tax-free dividends, and special dividends from sales like Zoopla, the overall net position may not be a loss, although Tony Vinelott felt the actual spending resulted in a loss of 800,000 (00:19:32).

- **EIS Marketing and Comparison to VCTs**: Tony Vinelott suggested that a primary market for Unlock would be people already invested in VCTs, especially since the tax benefit of VCTs was cut from 30% to 20%, making EIS more attractive (00:21:29). They noted that the average net growth on VCT funds is around 12% per annum, considering tax, dividends, and growth. The platform could offer an advisory shortlist for EIS investments, similar to what Hargreaves Lansdown provides for funds (00:22:19).
- **Transparency and Kickbacks in Fund Advisory**: Tony Vinelott recounted the controversy involving Neil Woodford's funds and Hargreaves Lansdown, where many clients lost millions after being pushed into the funds (00:23:26). They explained that Hargreaves Lansdown's recommended list of funds was reportedly influenced by kickbacks paid by the fund managers, highlighting the issue of transparency. Tom King's Presentation affirmed that the existence of such kickbacks is not surprising in the industry (00:24:19).
- **Unlock Access and Investor Advantage**: Tom King's Presentation introduced "Unlock Access," a division intended to identify businesses, conduct due diligence, and secure allocations for the platform (00:26:55). A key advantage would be pooling investor capital to demand discounts on investments, with any cost savings or "kickbacks" being passed directly to the subscribers (00:26:00). This approach, funded by a fee from subscribers, aims for complete transparency, ensuring all decisions are made in the subscribers' interests rather than the companies on the platform (00:27:48).
- **Leveraging Specialized Investor Knowledge**: Tom King's Presentation suggested forming committees or leveraging the specialized expertise of founding investors, such as a doctor for MedTech opportunities, to provide insight and due diligence on potential investments. This collective knowledge base would naturally evolve over time, benefiting the network (00:28:44). The discussion briefly returned to the tool's functionality, confirming that the current plan reflected notes from previous conversations and now showed a full 18-year projection (00:30:04).

- **Visualizing Investment Risk in the Tool**: Tom King's Presentation outlined the need to incorporate risk visualization in the planning tool. The tool should display a baseline plan alongside a comparison plan showing the impact if all high-risk investments, such as VCTs or EISs, went wrong, allowing users to understand the full extent of the risk (00:32:20). Tony Vinelott shared their experience with their pension provider, who required a signed disclaimer for them to remain in a high-risk, 100% equity portfolio due to their age (00:33:37).
- **Risk Profiles and Exit Strategies**: Tony Vinelott noted that as people age, they typically transition to lower-risk portfolios, suggesting that investors in the tool might move away from EIS and toward fixed-interest investments over the 18-year period (00:34:44). Tom King's Presentation countered that future investment choices depend on the performance of existing EIS investments, as tax-free capital gains from a successful exit could mitigate future risk (00:35:55). They also highlighted the tax benefits of EIS and SEIS compared to VCTs, noting that technically, the individual risk exposure in a failing EIS is 30% due to tax relief, whereas a VCT loss could be 70% (00:36:56).
- **Mitigating Risk for Mediocre EIS Investments**: Tony Vinelott raised a concern about what to do with EIS investments that are "coasting"—neither performing exceptionally well nor failing—which are difficult to offload. Tom King's Presentation suggested that Unlock could implement specific terms for investment, such as requiring dividend commitments or priority exit rights to protect shareholders from scenarios like the BrewDog scandal, where founders structured exits to benefit themselves over early investors (00:38:10) (00:48:39). They proposed establishing mechanisms to force the winding down of underperforming companies that are solely benefiting directors through large salaries and no profits (00:40:48).
- **Gaining Control and Crystallizing Losses**: Tom King's Presentation proposed that Unlock should aim for a significant collective stake, such as 25% or more of the shares, to secure a controlling influence (00:44:46). They emphasized the importance of pre-agreed terms, which could allow Unlock to facilitate the crystallization of losses for investors (00:45:41) (00:47:43). This could involve an agreement where Unlock can buy shares for a nominal value (e.g., a penny a share) to allow the investor to claim the loss, or for the company to buy back the shares at that price (00:45:41) (00:50:42).
- **Fair Market Valuation and Terms**: The participants acknowledged the necessity of establishing a fair market valuation system for shares at the outset, ensuring

that when an investment performs poorly, the shares can be valued at next to nothing for loss crystallization purposes (00:49:34). The key concept is that terms should be agreed upon upfront, providing a layer of protection that individual EIS investors typically lack (00:53:16). Tom King's Presentation concluded that working on these terms is crucial to making Unlock an attractive and safer alternative for EIS investment (00:54:38).

- **Inclusion of Grandchildren's Investments in Portfolio**: Tony Vinelott mentioned that their portfolio now includes investments, such as whiskey casks, that have been purchased and placed in the names of their grandchildren, which are subject to the seven-year gifting rule for inheritance tax purposes. Tom King's Presentation acknowledged that this asset type is currently not reflected in the portfolio data (00:55:41).
- **Tracking Deferred Inheritance Tax Benefits**: Tony Vinelott requested a way to track the seven-year inheritance tax (IHT) period associated with gifts, such as a house and other assets, within the portfolio. They mentioned gifting one of four houses to their children five years ago, leaving two more years of the IHT period to track (00:58:09). Tony Vinelott also noted that assets qualifying for IHT exemption after two years, such as investments in Enterprise Investment Schemes (EISs) or the Alternative Investment Market (AIM), are constantly building up, which affects the overall IHT calculation (00:59:03).
- **Factoring in IHT-Free Assets and Potential Returns**: The conversation addressed the necessity of factoring IHT-free assets like whiskey and art into calculations, acknowledging that the actual future value received from selling these collectibles might be less than their book value (00:59:58). Tom King's Presentation concluded that the primary benefit of transferring these assets is that they are passed on without IHT, regardless of the final realized value. Tony Vinelott confirmed that the IHT benefit is deferred in some cases, such as two years for EISs, immediately for AIM, and seven years for property and collectibles like whiskey (01:01:12).
- **Automating Asset Transfer and Gifting Processes**: Tony Vinelott and Tom King's Presentation discussed building a feature to prompt users to transfer qualifying assets to avoid IHT, potentially facilitating the gifting process (01:01:12). Tony Vinelott explained that they had gifted cash for whiskey, with the certificate already in the recipient's name (01:02:22). Tom King's Presentation suggested that for assets not already gifted, the tool could prompt users about the benefits of transferring ownership for IHT purposes (01:03:15).

- **Personal Motivation for Inheritance Tax Planning**: Tony Vinelott explained that their focus on IHT planning began after their wife's death, as previously the primary concern was maximizing post-tax income and maintaining their lifestyle. Tony Vinelott noted that if they received anything, they should be grateful for it (01:04:10) (01:12:13). Tony Vinelott emphasized that the former key driver was maximizing post-tax income, which determined their retirement age (01:12:13).
- **Exploring Trust Structures for Estate Planning**: Tony Vinelott is considering placing money into a trust for their grandchildren, noting that a previously established trust was canceled due to complexity and tax implications. They are still being encouraged by portfolio managers to use a trust, which could be financially beneficial compared to leaving the money in their pension, even after paying the 45% tax on a lump sum withdrawal (01:05:09).
- **Understanding the Seven-Year Trust Transfer Rule**: Tony Vinelott outlined that they could put £325,000 into a trust every seven years, making it immediately free of IHT, which Tom King's Presentation noted was a potentially unknown benefit to many. This strategy would involve taking the sum from their pension, paying income tax on it, but allowing the money to grow free of capital gains and income tax within the trust (01:06:11).
- **Establishing Discretionary Trust Rules and Benefits**: Tony Vinelott set up a 125-year discretionary trust to prevent the grandchildren from accessing the capital directly, ensuring the money is likely passed to future generations (01:07:38). The trustees maintain the discretion to allow access for specific factors, such as housing deposits, medical needs, or education (01:08:27). A crucial benefit of the trust is that the money is not part of the beneficiaries' estate, protecting it from division in case of divorce (01:09:06).
- **Platform Opportunity for IHT Education and Scenario Simulation**: Tom King's Presentation suggested that the platform should include a component to educate people about IHT options and allow them to simulate different scenarios, as many do not realize what actions they can take (01:10:13). Tom King's Presentation noted that many people are unaware of the seven-year IHT rule (01:11:13).
- **Shifting Focus from Capital Accumulation to Net Income Generation**: Tony Vinelott reiterated that the primary driver for financial planning should be the required amount of net income, not the total capital value (01:13:55). Tom King's Presentation acknowledged that their instinct is still to focus on capital, but the

platform's objective is to convey that capital is often irrelevant compared to the generated net income (01:14:54).

- **Analyzing EIS/SEIS as a Tool for Early Retirement**: Tom King's Presentation proposed positioning Enterprise Investment Schemes (EIS) and Seed Enterprise Investment Schemes (SEIS) as mechanisms to potentially allow someone to retire 15 to 20 years earlier. This involves comparing the likelihood of an early retirement using EIS/SEIS to other available options, acknowledging that while there are risks, successful execution can significantly advance retirement goals (01:16:50).
- **Addressing Investment Biases Towards Property**: Tony Vinelott and Tom King's Presentation discussed the common investment bias towards property in the UK, often at the expense of stocks and shares, due to the perceived safety of "bricks and mortar" (01:18:09) (01:20:05). Tony Vinelott provided an example of a friend who, after selling their business, invested all their capital into an upgraded house and 10 student rental properties, neglecting pensions or shares (01:19:04). Tony Vinelott also highlighted that property investors often overlook maintenance costs and increasing difficulties with tenancy rules (01:20:05).
- **Reviewing Changes to Landlord Regulations**: Tony Vinelott detailed how new regulations, including limits on the Section 21 eviction process starting May 1st, are making it increasingly difficult to be a landlord, unless they can prove they need to sell the property or a relative needs to move in. They noted that this governmental approach, which assumes landlords are terrible and tenants are wonderful, seems counterproductive to the goal of increasing rental properties and reducing costs (01:20:58).
- **Discussing High-Net-Worth Individuals and School Rumors**: Tom King's Presentation shared anecdotes about a school attended by the children of celebrities and high-net-worth individuals, noting that many families' affluence is apparent, even if their background is unknown (01:22:47). They also related a recent realization that rumors about the school protecting certain families were not about malice but simple incompetence (01:23:45).
- **Investigation into Octopus Titan and Octopus AIM Performance Issues**: Tony Vinelott confirmed that both Octopus Titan and Octopus AIM, the funds they had issues with, are listed and that the losses in these funds were significant (down 80% from what they expected) (01:24:39). Tony Vinelott discovered they could not sell the inherited shares because the funds had been suspended (01:25:30).

- **Establishing Consistent VCT Performance Measurement**: Tom King's Presentation suggested the need to establish a standard way to measure VCT performance consistently, to accurately evaluate returns and failures. Tony Vinelott clarified that the Octopus funds trade on the full market, not the AIM market (01:27:14).
- **Assessing the True Return of Venture Capital Trusts (VCTs)**: Tom King's Presentation presented data suggesting that VCTs, over a 25-year period, show an average return of around 0.5% per annum (either in the red or black) after stripping out the tax benefit (01:35:37). The analysis suggests that the main return is the government's 6% annual tax subsidy, and the underlying investments themselves return little to nothing on average (01:33:10) (01:38:41).
- **Comparing VCTs to Pensions Regarding Tax Benefits and Charges**: Tony Vinelott noted that the primary benefit of a pension, like VCTs, is the tax relief, as institutional charges and commissions consume a significant portion of the growth and dividends. Tony Vinelott claimed that for the first 18 months of a standard pension, all contributions are paid out in commission, resulting in a zero net amount in the pension (01:37:41) (01:39:33).
- **Historical Context of the AIM Market and Funding Gaps**: Tony Vinelott, who chaired the committee that created the AIM market in 1994, explained that it was developed to fill the funding gap between EIS/VCT investments and the requirements for a full listing (historically under £50 million) (01:41:39). The AIM market aimed to offer a reduced cost of funding and allowed founders to retain more control (up to 75% ownership) than a full listing (01:43:05).
- **VCT Utility for High-Income Taxpayers**: Tony Vinelott and Tom King's Presentation concluded that VCTs are ideal for individuals with high tax bills and liquidity who wish to mitigate risk and utilize the tax rebate (01:50:30). The maximum tax bill that can be offset through VCTs is £60,000, requiring a £200,000 investment annually, suggesting a "million pounds to play" is needed over five years to maximize the cycle (01:49:20).
- **Final Takeaways and Future Actions**: Tom King's Presentation summarized their takeaways, focusing on two key areas: improving the financial tool for planning expected activities like asset transfers, and developing the structure for agreements with various companies to ensure preferential shares and a mechanism to "force the crystallization" of assets. The conversation concluded due to scheduling constraints (01:55:02).

- **Investor Exit Strategy for Direct Investment**: Tony Vinelott expressed concern regarding how investors who invest directly, rather than through a fund, would be able to exit their position. Tom King's Presentation accepted this as their area of expertise and committed to working on the solution to ensure that they can offload investments, stating this represents a real value-add to the overall offer. Tony Vinelott noted that the goal is to avoid ending up with a large, unsaleable portfolio of mediocre companies (01:56:15).
- **Discussion on Weekend Weather**: The speakers briefly exchanged pleasantries and discussed the current weather conditions, with Tony Vinelott hoping the weather would improve, possibly by Sunday afternoon. Tom King's Presentation joked that they would still be wearing a jumper regardless of the weather (01:56:57). The discussion concluded with a humorous mention of the running joke in Tom King's Presentation's house that it only rains in April, implying the rainy period has been extended (01:57:32).
- **Farewells and Well Wishes**: The speakers concluded their conversation, thanking one another and wishing each other well for the weekend (01:56:57). Tony Vinelott also extended best wishes to Claudia (01:57:32).

Suggested next steps

- ☐ [The group] Expand Network: Join university and angel investment groups. Facilitate sharing of investment opportunities within the network.
- ☐ [The group] Define Valuation: Agree upon a system for valuing shares. Determine how shares will be valued within the platform.
- ☐ [Tom King's Presentation] Draft Investment Terms: Work on developing fair investment terms for prospective portfolio companies.
- ☐ [Tom King's Presentation] Research VCT Risk: Understand the advised risk level of Venture Capital Trusts.
- ☐ [Tom King's Presentation] Track IHT: Track 7-year inheritance tax benefit status for the house and gifted assets within the portfolio.
- ☐ [The group] Research VCT Performance: Calculate historical VCT fund performance using a 5-year buy and sell strategy.
- ☐ [The group] Define VCT Metrics: Define standard guard rails and measurement methodology for VCT performance consistency.

- [ ] [Tom King's Presentation] Structure Agreements: Structure agreements between unlock access and companies to ensure preferential shares and forced crystallization mechanism.
- [ ] [Tom King's Presentation] Define Exit Strategy: Address investor concerns regarding exit strategy for direct investments. Ensure ability to offload mediocre companies from the portfolio.

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Tony and Tom - Transcript

00:00:00

Tom King's Presentation: I think there we go. So,
Tony Vinelott: I'll be in
Tom King's Presentation: previously it was it was just you would pick one of them in the early, you know,
Tony Vinelott: front.
Tom King's Presentation: you could prioritize one or the other, but then I'm thinking, well, you might be better off saying, well, actually, I I'm more interested in this, but these ones aren't, you know, you can and you can put them in a particular order that you want them to be in. And if
Tony Vinelott: Yeah.
Tom King's Presentation: that
Tony Vinelott: I mean what I have been doing until relatively so virtually no tax.
Tom King's Presentation: You've been doing what? Sorry.
Tony Vinelott: What I have been doing for the last 10 years is prioritizing the
Tom King's Presentation: Uhhuh.
Tony Vinelott: tax.
Tom King's Presentation: Uhhuh.
Tony Vinelott: In other words, minimizing it. So in spite of that income,
Tom King's Presentation: Yeah.
Tony Vinelott: most years I've only paid about 20 to 30 grand in
Tom King's Presentation: Yeah.
Tony Vinelott: tax and that's either been done

00:00:47

Tom King's Presentation: Okay. So,
Tony Vinelott: because of pensions or um ISIS or VCTS.
Tom King's Presentation: Uhhuh. Mhm.
Tony Vinelott: And obviously it's one of the reasons I used to say to my my wife who

passed away, you know, because obviously I split all the investments between the two of us.
Tom King's Presentation: Mhm.
Tony Vinelott: And so that meant we had a 400,000 allowance on BCTS,
Tom King's Presentation: Mhm.
Tony Vinelott: which we maximized.
Tom King's Presentation: Mhm.
Tony Vinelott: And I said to her, you know, if for any reason you you pass away, I'm going to kick s*** out of you because all all of my calculations are based on, you know, double taxation relief. And of course, she did pass away, so I wasn't able to kick over to be honest. But there you go.
Tom King's Presentation: There you
Tony Vinelott: But the other thing that seriously pissed me off was was the fact she elected to annuitize her two
Tom King's Presentation: go.
Tony Vinelott: pensions. One one was legal in general and one with Barclays because she they tried to buy her out.

00:01:41

Tony Vinelott: They offered her a ridiculous amount of money which she refused to accept. And no matter how much her best friend was was her financial advisory if you like or also mine although we didn't use her as such um and I both tried to persuade her even even if you only take one of the pensions and annuitize it but I suppose
Tom King's Presentation: Mhm.
Tony Vinelott: because her parents had very modest beginnings we were both brought up in in Liverpool and um to give you some idea my my father-in-law has passed
Tom King's Presentation: Mhm.
Tony Vinelott: away um lived in Petty Lane as in the song and her mother lived three streets away and so just like you said you had fairly modest beginnings so did they and um and I think it affected her relationship with money you know right right way till when she passed away
Tom King's Presentation: Mhm.
Tony Vinelott: um and so she always wanted to know that she got that security of of an
Tom King's Presentation: Mhm.
Tony Vinelott: annuized pension because the annuitization they gave her just rubbish. And it was like 2%.

00:02:48

Tony Vinelott: 2%. You know, just criminal.
Tom King's Presentation: Yeah.
Tony Vinelott: Just absolutely criminal. And that was a company pension. Um just ridiculous.
Tom King's Presentation: Mhm.
Tony Vinelott: But she still took it. And of course, when she passed away, I I got a portion of that. In one case, two/3s,
Tom King's Presentation: Mhm.
Tony Vinelott: in the other case, I got half. And um yeah, that cost me a lot of money. A lot.
Tom King's Presentation: It sounds like it.
Tony Vinelott: 4.2 2 million to be precise. Yes.
Tom King's Presentation: Bloody hell.
Tony Vinelott: Right.
Tom King's Presentation: f****** hell.
Tony Vinelott: Yes.
Tom King's Presentation: All right, let's move on.
Tony Vinelott: You can imagine I was quite I was quite cross about
Tom King's Presentation: Ouch. I I feel sick.
Tony Vinelott: it.
Tom King's Presentation: I feel sick already. So, right.
Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: um realize it says inheritance tax deduction. It says preserve EIS for but I actually don't know business property rel shares held two years qualifies.

00:03:47

Tom King's Presentation: So this here's an interesting thing that um about about EIS. So it's it after two years it classes for there's there's complete inheritance tax relief 100 100% relief. Um,
Tony Vinelott: Yeah.
Tom King's Presentation: but and this is me giving feedback on the tool at the moment.

It doesn't, as far as I know, this isn't what this would need to do is ask the user what they would do with their tax each year because I think you know what I mean like what because obviously previously you've maxed out your done vcts.
Tony Vinelott: Yeah.
Tom King's Presentation: So, so if you So,
Tony Vinelott: Yeah.
Tom King's Presentation: what and I don't think there's because this is focused on deumialization. It's it's it's and I've just realized I've got a lot of work to do now, but thanks for I've just I've just re But this is why these are so useful. What it's not doing is saying going it's not allowing for any other uh ongoing allocations especially to do with tax, right?

00:04:54

Tom King's Presentation: So, because the user could say, well, actually,
Tony Vinelott: H.
Tom King's Presentation: I'm going to max out my BCTS or I'm going to build an EIS portfolio or I'm going to do I'm going to do XY I'm going to do XY Z. So,
Tony Vinelott: Mhm.
Tom King's Presentation: I think that so it's okay saying I want to optimize tax or I want to do this, but what does that actually mean? And then what are we going to what are we going to use as data points to predict the because obviously if if somebody was putting a few hundred grand a year into EIS's for example or SEIS's and and they did
Tony Vinelott: Yeah.
Tom King's Presentation: it for for a period of time you'd actually expect based on the just standard performance data of EIS's that they're you their their actual portfolio should be going up which then risks giving a false indication of like or you know because you could say well actually I can keep spending more than I think because the tools predicting that I'm going to I'm going to get a an average 10x return on all my EIS's but actually so I think there needs to be some uh way of distinguishing you know because I guess what it is is if

00:06:06

Tony Vinelott: Yes.

Tom King's Presentation: someone's going to do the EIS's and or ECTS etc. then the the the risk element of that would need to be seen. So if if every single one of your EIS's fails actually you run out of money when you're 77 or when you you know when you when you you're 93 or or or whatever it is.
Tony Vinelott: Absolutely. Absolutely.
Tom King's Presentation: So,
Tony Vinelott: Yeah.
Tom King's Presentation: I think that could be uh because this just assumes you're going to pay all the tax every year and you're going to and you're going to sell off your assets.
Tony Vinelott: Yeah.
Tom King's Presentation: You're not going to do anything to anything uh what's the word? Anything uh you're not taking any action.
Tony Vinelott: Yeah.
Tom King's Presentation: So,
Tony Vinelott: Yeah.
Tom King's Presentation: I think that's
Tony Vinelott: Yes, there's no kind of risk waiting at all,
Tom King's Presentation: uh
Tony Vinelott: which is, you know, I think really what you what you're talking about.
Tom King's Presentation: Mhm.
Tony Vinelott: But, um, because let's face it, what the reason why you have the tax benefits on some of these investments is because they are high risk.

00:07:09

Tony Vinelott: Um, and Yes.
Tom King's Presentation: Well,
Tony Vinelott: Okay.
Tom King's Presentation: I I've I've got a little bit of which which I think the the only reason why they they they allow the investors to to to shoulder any risk is because if they didn't, everyone would do it.
Tony Vinelott: Well, yes.
Tom King's Presentation: So, I think I think you know I think I think your I think your average uh
Tony Vinelott: Okay.
Tom King's Presentation: uh historically I would say your average Tory MP and his

mates were you know would would they're they're the they're the you know people that are that are worth more money are the people that are doing these schemes.
Tony Vinelott: Yeah.
Tom King's Presentation: But if if if you could just invest your tax without any risk that every you know it would just be something that everybody would do. So,
Tony Vinelott: Oh,
Tom King's Presentation: so that they they have they have to,
Tony Vinelott: absolutely.
Tom King's Presentation: you know, keep people locked out of it in in in in some in some way, but you
Tony Vinelott: Yes.

00:08:03

Tony Vinelott: and they obviously reduce the benefit on VCTs because having put the squeeze on pensions
Tom King's Presentation: know,
Tony Vinelott: in terms of well in all kinds of ways but in the main case and the amount you can put in peranom um the uh you know people who are higher earners if you like have now got nowhere to put their money and indeed when they started putting things like these lifetime caps on I had a number of people who were in professional services accountants lawyers and whatever say to me, you know, the partners in the firm had never really put money into a pension because we always worked
Tom King's Presentation: Mhm.
Tony Vinelott: on the assumption that you know at the end of the day we would sell our partnership for an amount of money and then over the next five years we would put that into our pension at let's say you know quarter a million a year or half a million a year what you know whatever.
Tom King's Presentation: Mhm.
Tony Vinelott: But of course the the government then started putting caps in like the the most you can put in is 40 grand.

00:09:05

Tony Vinelott: And so there there was nowhere for this money to go. And so a lot of that

money started going to
Tom King's Presentation: Now the interesting thing is that obviously with EIS and CIS they've got they do this
Tony Vinelott: BCTS.
Tom King's Presentation: horizon thing. So it's now on TW the horizon so the current terms of EIS and CIS are locked into law until 2035.
Tony Vinelott: Okay.
Tom King's Presentation: Um and you know they'll they review it they'll review it again in a few years and look to ext look to extend it. But it does,
Tony Vinelott: Yeah.
Tom King's Presentation: you know, the more the more you the more So I think it's it's trying to say the the the the the need the the need for it or the benefit of building your own EIS portfolio as opposed to putting money is is stark and clear and striking and you know obvious. I think I think it then becomes especially with something like this
Tony Vinelott: Yeah.
Tom King's Presentation: where where we are going to be involved or connected to other EIS's.

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Tom King's Presentation: We're going to be seeking out other EIS's. I said, I want someone I want to, you know, join all these different, you know, university groups and and angel groups and so so they can they can be shared within the network. And then and then ultimately you're going to have to have something in the tool that that allows someone to I guess the I guess the what you might need to do is something like there's a here's a question for you actually. Uh would it be worth doing? You know, like I saw in the in the going back to the safe school thing that Amazon did where it where it says here
Tony Vinelott: Yeah.
Tom King's Presentation: is like learn about this and learn about and you know learn how to recognize this and learn about that. Would it be sensible to say, you know, you you you've just got to do your own um it's it's just going to accumulate. If actually you want to optimize things like tax by building an EAS portfolio actually you've got to actually go through and and and kind of learn what the a bit about it and how it and how they work and how they do and so it's and so that they then because it's okay us having a a graph that shows if they all fail you get here and if they all succeed you get here and if you meet the average you're here but really you want the investor to understand uh

about diversification within EIS different sectors different

00:11:40

Tom King's Presentation: you know different areas what type of due diligence they might uh do you know how to you know make sure they can speak to the to the director can they see the
Tony Vinelott: Mhm.
Tom King's Presentation: software is the you know what what what whatever it is it should it should be that's what I'm thinking that it could be something more like so it's like it's only that that part of the tool is only accessible to someone who and it almost sounds uh it sounds horrible to say it uh and I'm trying to think of another way to say it. Um it it only accessible to people who have demonstrated that they understand it.
Tony Vinelott: Yes. Okay.
Tom King's Presentation: Do you know you know you know you know you know what I you know what I mean? So it's it's it's like you say oh yeah goes oh do you want to optimize the tax every year?
Tony Vinelott: Yeah.
Tom King's Presentation: and just invest in it and build and build your own and build your own portfolio of of EIS companies and there's a like on average you'll get a seven times return and you and you know you'll you what one of them might turn into a bit you know

00:12:40

Tony Vinelott: Yeah.
Tom King's Presentation: it's like who's who's going to say no I no I don't want to do that I just want to pay all my tax every year so so it's it's a bit of a loaded question isn't it in terms of you know do you want to do you want
Tony Vinelott: Yes.
Tom King's Presentation: to optimize for tax well yeah okay but then okay in order to do that here's what you need to learn what do you or not learn but you know what I mean it's it's you don't you don't want to be
Tony Vinelott: Well, it's what you need to be aware of,
Tom King's Presentation: saying yeah what you need to be aware of but also not to be

aware of
Tony Vinelott: isn't it?
Tom King's Presentation: but you don't want it to be or it's in our interests as it's an unlocks interests that it's not like a a disclaimer that's signed small print do you are you aware that yeah they just click it but actually are you
Tony Vinelott: Yeah.
Tom King's Presentation: interested in this okay click here and go through this this

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Tony Vinelott: Okay.
Tom King's Presentation: uh this educational piece. I'll have it explained to you and and you make sure that you un that you that you understand it and and and again what's the word I'm looking like oh I nearly had the word I'm sorry I hate it. You know when you got a word then it just it just it happens to me all the time. What is it when you when you speak down not when you you you do something to people where you speak to them in a certain way as if they're uh patronizing. you know, you would you wouldn't want it to be,
Tony Vinelott: Yeah,
Tom King's Presentation: you know, if I said to you, Tony, can you demonstrate to me that you're financially literate, you know, before before I uh you know,
Tony Vinelott: absolutely.
Tom King's Presentation: so there's a there's a balance of I suppose it's, you know, sometimes when I speak to people, I go, are are you famili are you familiar with EIS? Yes. Okay. How familiar?

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Tom King's Presentation: So I suppose there's just a route a route to people to go well before before you select that you want to take this approach let's just clarify that you do that you that you do understand it.
Tony Vinelott: Yeah. Well,
Tom King's Presentation: Yeah.
Tony Vinelott: and that you understand the risks.
Tom King's Presentation: Yeah. That's what I mean. You you understand the

Tony Vinelott: Yeah.
Tom King's Presentation: risks.
Tony Vinelott: and you you appreciate that the money you invest is is significantly at risk.
Tom King's Presentation: Mhm.
Tony Vinelott: Um,
Tom King's Presentation: Well, a percentage of it's at risk.
Tony Vinelott: and well,
Tom King's Presentation: Yeah.
Tony Vinelott: yes, but it's all very well to say that on average you should get seven and a half%.
Tom King's Presentation: seven and a half
Tony Vinelott: Um, seven and a half times, sorry.
Tom King's Presentation: times.
Tony Vinelott: Um, but if you actually build up the wrong portfolio, then it could be n it could be it could be hundred times.
Tom King's Presentation: Well, yeah. Yes. But then in that case, you would lose 30% of what you invested.

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Tom King's Presentation: So it's, you know, but e, you know,
Tony Vinelott: Yes.
Tom King's Presentation: even then it's like you you you still need I mean this is where the where unlock's going to be useful because you still need someone to to make sure that it's all done properly for you and you claim your EIS and you're on top and you want and and you want and you're on top of it all.
Tony Vinelott: Yeah.
Tom King's Presentation: So you almost got a little portfolio. You've almost you almost need a little EIS portfolio manager that sits within it that
Tony Vinelott: Yeah,
Tom King's Presentation: tracks where the companies are and tracks
Tony Vinelott: I mean well I mean let's face it we take the case of V ects if if
Tom King's Presentation: the
Tony Vinelott: you purchase a BCT you get your 30% off and if you buy a fund that fund is tradable on on the stock stock stock exchange um so it does mean that
Tom King's Presentation: Mhm.

Tony Vinelott: um after five years you're you know you're allowed to to sell it and not lose that benefit.

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Tony Vinelott: So, so what what I tend to do is hold on to them for five years,
Tom King's Presentation: Mhm.
Tony Vinelott: the end of the five years, sell it and then and then use that money to to to fund the next
Tom King's Presentation: Sell it for whatever it's worth.
Tony Vinelott: purchase and get my and get my next 30%.
Tom King's Presentation: Uhhuh. Uhhuh.
Tony Vinelott: But um what I'm not quite sure about is the tradability of EIS stocks, particularly if you're buying individuals stocks rather rather than a
Tom King's Presentation: Yeah. So, so one of one of one of one of the one of the things that we uh what we what we do with this
Tony Vinelott: fund.
Tom King's Presentation: is is private placement. So, we want we want we want we Yeah.
Tony Vinelott: I realize that we discussed that.
Tom King's Presentation: But out outside of that there are uh uh platforms and that we
Tony Vinelott: Yeah.
Tom King's Presentation: can you know that we can partner with and be part of but obviously the the it's fairly straightforward to do a private placement uh of a an EIS that's doing well.

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Tom King's Presentation: you know, but yeah. Yeah. Now, it's it's it's obviously not so easy to do a private placement of a and not only is it not easy, you probably shouldn't, you know, you I I wouldn't want to facilitate the private placement of of a business that, you know, that had looked like it had six months of life left and that you know the because the other thing you have to be wary of is
Tony Vinelott: Come on.
Tom King's Presentation: with private placement is when the when directors and people

want to start getting out because
Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: obviously they do you know something I
Tony Vinelott: Well, it's the same with shares. I mean, there are companies who track direct sales and director's purchases for for exactly that reason because they're obviously they're obviously inside of
Tom King's Presentation: Mhm. But so yeah,
Tony Vinelott: trading by definition.
Tom King's Presentation: so the and but then how many of because I think you told me with with a couple of the VCTs you'd lost significant money.

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Tom King's Presentation: Is that is that is that just simply because the fund itself was worth a lot less five years later when you went to try and sell it.
Tony Vinelott: Yes.
Tom King's Presentation: So the shares were worth.
Tony Vinelott: Yes.
Tom King's Presentation: Yeah.
Tony Vinelott: In one case,
Tom King's Presentation: So,
Tony Vinelott: which unfortunately I did put quite a lot in um
Tom King's Presentation: and do you and do you know and do you and how difficult would be and how difficult would it be for you
Tony Vinelott: um
Tom King's Presentation: to to to calculate what your um like if you look back and say well I you are you what what's been your I guess what I'm trying to figure out is if you take how what how many of them have have been winners And oh, how many of you got your money back? How many have you got less than your money back? How many have you got all your Do you know? Have you Have you got that? Have you got that?

00:18:41

Tony Vinelott: Um, not really. No. No. Um, I mean, the one the one that's done badly,
Tom King's Presentation: No.

Tony Vinelott: and there's actually two versions of it, is is is Octopus, where I was encouraged to put a lot of my initial money. So, as I say, Kate and I were putting in 400 a year and we put quite a lot into octopus and the value of those octopus funds has gone down by
Tom King's Presentation: So,
Tony Vinelott: 80%.
Tom King's Presentation: because I guess what I'm trying to figure out is and must there must be available data actually that we can go and put is is that you know you we can say what the thing is with
Tony Vinelott: Yeah. Yeah. Yeah. Sure.
Tom King's Presentation: the shares you can sell them but only if the you know but but if the shares that's not it's not without risk is it as you said as
Tony Vinelott: No, no.
Tom King's Presentation: you and I
Tony Vinelott: And and what I mean I did I did actually discuss this with Cindy who's the the financial

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Tom King's Presentation: sorry
Tony Vinelott: advisor. I mean literally the last couple of weeks and um and she said and it's quite interesting when you say you must be able to track it. She said if you look at the tax rebate you had the 30%. plus the dividends you receive taxfree um plus the special dividends they got through selling various companies. One of them was Zupla for example the um you know the house house
Tom King's Presentation: Mhm.
Tony Vinelott: one um where they gave a special dividend um
Tom King's Presentation: Mhm.
Tony Vinelott: she said in actual fact you hadn't actually you won't have made a net loss so it's interesting she was able to say that
Tom King's Presentation: Mhm.
Tony Vinelott: You know,
Tom King's Presentation: Yeah. Yeah, I I I guess what I'm what I'm wondering is is there a what I'm trying to like so let's say for
Tony Vinelott: because
Tom King's Presentation: example all of that money had gone into a range of different EIS's directly and and and then and then what would be so over over overall oh so sorry

the the IFA said actually you didn't lose any money.

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Tony Vinelott: it's just I'm I'm realizing a loss. Let's let's say I put half a million in.
Tom King's Presentation: Yeah.
Tony Vinelott: Well, let's say I put a million in. If I I sold them today,
Tom King's Presentation: Yeah.
Tony Vinelott: I'm going to get two back.
Tom King's Presentation: Yeah.
Tony Vinelott: She said I already had the other 800,000.
Tom King's Presentation: That's what she's
Tony Vinelott: Yes. So over the course of the year,
Tom King's Presentation: saying.
Tony Vinelott: I started investing in 2014, so it took about 12 years or Yeah. 11 or 12 years. She's saying your your overall position is net.
Tom King's Presentation: Okay. And then
Tony Vinelott: I've actually spent other money. So my ro position is a loss of 800,000 because the other the only money is
Tom King's Presentation: Yeah. Yeah. Yeah. Yeah. Yeah. Yeah. I see.
Tony Vinelott: gone.
Tom King's Presentation: I I Yeah. So, it's been it's dressing it up in a in a in a in a in a in a

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Tony Vinelott: I mean it may well be
Tom King's Presentation: Yeah.
Tony Vinelott: true.
Tom King's Presentation: But it does it does it doesn't change the fact that you had shares that you thought were this and and now and and now and now they're and now they're worth X.
Tony Vinelott: Yes.
Tom King's Presentation: I I guess what I guess what I'm trying to uh because I'm I'm thinking that a big market for unlock might be not just people who are doing ES and new

to EIS, but people that are currently doing
Tony Vinelott: Well, absolutely because having having cut the the benefit on the VCTs from 30
Tom King's Presentation: BCTs
Tony Vinelott: to 20, obviously the the tax situation with EIS's looks that much more attractive and therefore I think people will start looking at
Tom King's Presentation: But it's it's it but it and but it's how it's it's how it's how to it's how to compare them,
Tony Vinelott: that.
Tom King's Presentation: isn't it? It's how it's how to uh
Tony Vinelott: Yes. I mean that well one one of obviously one of the most effective markets with marketing a people

00:22:19

Tom King's Presentation: um
Tony Vinelott: who already invested in VCTS um for whatever and and then you've got the other one is people who invested in funds where you know basically my net growth on funds is 12% peranom if I take the tax and the and the and the dividends and the and the growth the the overall improvement should be around 12%. % okay which is very
Tom King's Presentation: Yeah. So I I
Tony Vinelott: different from your seven times worth you know to work with but because there you're looking
Tom King's Presentation: Yeah.
Tony Vinelott: at investing in a VCT but also investing in a fund versus investing
Tom King's Presentation: Uhhuh.
Tony Vinelott: in in in building your own portfolio and having to select your own funds which very
Tom King's Presentation: Uhhuh.
Tony Vinelott: few people have got the confidence to
Tom King's Presentation: Uhhuh. But the idea would be obviously on that note that what we would do is we would essentially create a short list, isn't it?
Tony Vinelott: Yes, you're you're providing an advisory list in the same way as hard grease.

00:23:26

Tony Vinelott: Thank you. In the same way H Harris Landsdown were doing with well still do with funds. Now the the downside of the situation with Hargre's lands down uh and they were caught out a
Tom King's Presentation: Yeah.
Tony Vinelott: couple of years ago with what's his name? The the guy used to be the investment director at Perpetual and set him on his own and then the fund crashed and they they demonstrated he wasn't actually following the fund. Oh god.
Tom King's Presentation: Heat.
Tony Vinelott: I used to know the the a****** as well. I seriously disliked him.
Tom King's Presentation: You knew you knew Tony.
Tony Vinelott: Perpetual.
Tom King's Presentation: You could you could sniff it from the from the
Tony Vinelott: Well, perpetually he was an arrogant s***. He perpetual was quite a big customer of mine for quite a number of years about five
Tom King's Presentation: beginning.
Tony Vinelott: years. And so, yes, I did get to know him because I worked kind of handing glove with the with the CEO. Um, Woodford Neil Neil Woodford was his name.

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Tom King's Presentation: Okay.
Tony Vinelott: Um, and if you look him up on the internet, you'll see there's a lot of people who've now disliked Mr. Woodford intensely. However, one of the people who promoted him very highly was Harris Landown and they pushed a lot of their clients into his funds and they lost millions. I mean literally tens of millions. And um one of the things that came out about Hugo and I don't know how much people know is they they have this port they have this recommended list if you like of 150
Tom King's Presentation: Mhm.
Tony Vinelott: funds.
Tom King's Presentation: Mhm.
Tony Vinelott: Um but they get paid a kickback by the fund managers to put them on the list.
Tom King's Presentation: Mhm. Yeah.
Tony Vinelott: Well,
Tom King's Presentation: Of course.

Tony Vinelott: yes, of course. But, you know,
Tom King's Presentation: I mean,
Tony Vinelott: it's
Tom King's Presentation: I know this. I mean, I'm saying yes.
Tony Vinelott: um
Tom King's Presentation: I'm saying it like it's it's I'm not I'm not saying it as in is a is a you know, is is a good is a good thing, but it's not surprising, is it?

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Tony Vinelott: No,
Tom King's Presentation: It's not it's it's not surpris I mean you
Tony Vinelott: no. Especially if you knew Peter Hargreaves, and I do know Peter Hardgreaves a little bit,
Tom King's Presentation: also
Tony Vinelott: and I know Steven Lansown a lot. Steven Lans is a very, very nice guy. He used to he ran the back office. He's now retired. But Peter's an absolute, you know,
Tom King's Presentation: see see the other and the other the other thing where we would where we would have a an advantage let's say or an advantage that
Tony Vinelott: sh
Tom King's Presentation: we can have is um a lot of the times Let's say, you know, there's a university and they've got a a stu a startup lab or startup studio and they're pumping out these different things specialist in one thing or another and they'll say, you know, we're looking to raise a million quid and we're, you know, the minimum the minimum the minimum investment is 50 grand. And what and what and what we would then do is say,

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Tony Vinelott: Yeah.
Tom King's Presentation: right, here's a here's thing we're looking at. Who's interested? How much can we raise? And then you go back to the company and say, "We'll give you the full million quid,
Tony Vinelott: Yeah.
Tom King's Presentation: one transaction between uh one transaction, no, but we'll we'll

in one in one go, but we want x amount of discount." So what what what you what you actually want is a a
Tony Vinelott: Yeah. Sure.
Tom King's Presentation: platform where if the if the let's say the subscribers are paying 100 quid a month or what or whatever it is and and then therefore any hickback, let's call it, is actually passed on to the the share the the subscribers. So it's not like the company can oh I tell you what uh or more unlock we'll give you 100 grand or we'll give you x amount of shares or whatever. It's actually what's the best price that we can get for everybody. This is this is this this is the this is the price and so there's you know there's not there's nothing wrong with kickbacks as long as everybody gets as as you know that's how it

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Tony Vinelott: Well,
Tom King's Presentation: should Yeah.
Tony Vinelott: and and everybody's transparent.
Tom King's Presentation: That's what that's that's what I mean. But I think it can only
Tony Vinelott: But but would you do that inside unlock? Because because unlock is obviously your portfolio.
Tom King's Presentation: Yeah. No, no, no. That's what I was saying.
Tony Vinelott: Unlock is your
Tom King's Presentation: So I want to have I don't know if it was clear enough think. So I want to have a thing called unlock access and long and look on unlock unlock
Tony Vinelott: right.
Tom King's Presentation: access is essentially the division or or whatever you want to call it who's who basically go out and help identify these businesses do the due diligence put them in put them into the platform and we might say look uh we we're going to take 5% of the of what's raised to cover costs and administration and bits and pieces and what and and and what and whatever it is. But that then any anything that is discounted or applied or whatever gets passed straight over to the because there needs to be a uh an incentive for the for

00:27:48

Tony Vinelott: How do you sense it? Yeah. Yeah.
Tom King's Presentation: the for the subscri for the subscriber to actually you know to keep them forgive the
Tony Vinelott: Yeah.
Tom King's Presentation: pun locked in.
Tony Vinelott: I agree. I
Tom King's Presentation: Uh and so that's how and and the and the and the the
Tony Vinelott: agree.
Tom King's Presentation: the ultimately you can you can sort of summarize if you like our approach at unlock which is we want we want to take a fee from the subscribers so that there is so therefore there's nothing that is uh hidden or behind the scenes or there's not there's nothing that's done in the interests of the companies that are uh on the platform, you know,
Tony Vinelott: Look
Tom King's Presentation: it's it's all done in the interests of the and I think what you would have is kind of committees as well.
Tony Vinelott: at
Tom King's Presentation: So, one of the one of the one of the things I had when when I started kind of mapping this out with the help 18 months ago or or whatever it was is that let's say one of the founding investors that

00:28:44

Tony Vinelott: that.
Tom King's Presentation: joins us is a an expert in is is a is a doctor. Well, he might actually then be the person that says, "Do you know what?
Tony Vinelott: Mhm.
Tom King's Presentation: there's a med there's a medtech thing here have a look at that you know or there might be some there might be some innovation in sailing you know we say you know Tony and and Martin say but but but you know what I mean you can you can you can you can you can you can kind of build a
Tony Vinelott: Yeah.
Tom King's Presentation: a base of people who have a have a specialization in in a background
Tony Vinelott: Background. Yeah.

Tom King's Presentation: a background in something who can perhaps have some insight into in in into something and I think that would naturally kind of evolve over
Tony Vinelott: Yeah. Yeah. Could
Tom King's Presentation: o over over time as well. I get get back to back to this. Okay.
Tony Vinelott: it?
Tom King's Presentation: So uh uh uh oh so I think this is this is all this is all based on the hang on a minute all based on the notes from last time.

00:30:04

Tom King's Presentation: So, let's let's just check the assets a
Tony Vinelott: Right.
Tom King's Presentation: minute and check. Oh, doesn't look very good, does it? We can just about read what they are, can't we? Bit of a bit of a bit of a bit of a bug,
Tony Vinelott: Yes.
Tom King's Presentation: but so that's so that's taken So, what's this done is it's taken all the notes from our last conversation and then what you've just sent me and then built your
Tony Vinelott: All right.
Tom King's Presentation: portfolio based on that.
Tony Vinelott: Yes. Yes.
Tom King's Presentation: So that looks about right,
Tony Vinelott: Yes.
Tom King's Presentation: doesn't it?
Tony Vinelott: Yes. The allocations aren't correct, but doesn't
Tom King's Presentation: Yeah. Okay.
Tony Vinelott: matter.
Tom King's Presentation: So there and I think so we want we we wanted to let's run the optimizer and then apply that to plan. And now what you should have is a full plan that we can see across all the 18
Tony Vinelott: Oh

00:31:03

Tom King's Presentation: years

Tony Vinelott: yeah.
Tom King's Presentation: like that which is pretty good.
Tony Vinelott: Yes.
Tom King's Presentation: And then we can export it as a PDF
Tony Vinelott: Mhm.
Tom King's Presentation: open. And there you go.
Tony Vinelott: Amazing. Yes. Very good. Can I afford to live?
Tom King's Presentation: You you can afford to live very well, Tony.
Tony Vinelott: That's what I like to hear.
Tom King's Presentation: You you going to have a you you your your glory years are going to be especially especially fun.
Tony Vinelott: Good.
Tom King's Presentation: But yeah, so so then it's that it's that additional choice
Tony Vinelott: Good.
Tom King's Presentation: of so I I guess what we would want to do here
Tony Vinelott: Bloody hell.
Tom King's Presentation: is
Tony Vinelott: So you're saying at the end of the period this the state is more or less level begging?
Tom King's Presentation: Yeah.
Tony Vinelott: Gosh.
Tom King's Presentation: That's what you wanted, wasn't
Tony Vinelott: Well, yes, I suppose.
Tom King's Presentation: it?
Tony Vinelott: Um yes, for the inheritance tax purposes.

00:32:20

Tony Vinelott: Yeah.
Tom King's Presentation: Now, uh what we would what you would what we would then do is
Tony Vinelott: Yeah.
Tom King's Presentation: you would say are you willing to take the uh if you were going to do what we would need to do is sorry because VCTs can't be without risk can they?
Tony Vinelott: Well, obviously not. Hence my conversation
Tom King's Presentation: No, no, no. But, but what I mean is it's like we need to so I need to I need to understand more what is

Tony Vinelott: please.
Tom King's Presentation: the advised risk of I'm going I'm going to see if I can do it now. understand what's the because what we what we what we what we'd need to do is you you've obviously got you've now got that plan where if you just do this every year this is how it's going to look but you could say if you're going to do VCTS or you're going to do EIS that if everything
Tony Vinelott: Mhm.
Tom King's Presentation: goes wrong, uh this is this is actually how you'd have to this is this is going to be the impact of every single one of it going wrong.

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Tony Vinelott: Mhm.
Tom King's Presentation: And so you would you would almost be able to have a plan that you com that that you that you compared or you and then you could say well do you know what I want I I because I will take the risk because the risk really is let's say and I'm just thinking out loud so forgive me if I'm mumbling and trying to get it together but the risk really is that let's say the last 10 years of your life you you've got an uh 30 grand a year less.
Tony Vinelott: Yes.
Tom King's Presentation: or or you know you want to be you want to be able to see the impact this this would be the impact of so they can understand that risk.
Tony Vinelott: Yeah, you you've also got I mean if we take the case of my pension for example
Tom King's Presentation: So
Tony Vinelott: um the the the company that runs my pension which we're say American um really got a kind of high risk and a low lowrisk portfolios And the
Tom King's Presentation: Mhm.
Tony Vinelott: high-risisk portfolio is 100% invested in equities.

00:34:44

Tony Vinelott: And the low risk is 60% in equities and 40% in uh in fixed interest. Um or cash if you like.
Tom King's Presentation: Mhm.

Tony Vinelott: The um and uh because of my age, they did ask me to a restate what what my appetite for risk was.
Tom King's Presentation: Mhm.
Tony Vinelott: And also um having said that I wish to continue to keep it in the high risk, he asked me to sign a disclaimer that said that I accepted the fact that they would normally recommend
Tom King's Presentation: Mhm.
Tony Vinelott: that somebody of my age went into the lower risk.
Tom King's Presentation: Mhm. Mhm.
Tony Vinelott: Um but that I was prepared to accept the higher risk.
Tom King's Presentation: Mhm.
Tony Vinelott: Um because you will find as people transition if you like over my 18 years then theoretically and indeed I will move to a lower risk portfolio. Um because obviously the older you get you've got less and less chance of reinstating it if you lose it. Um and um you do want to make sure you're left with something at the end.

00:35:55

Tom King's Presentation: Yeah.
Tony Vinelott: Um and so I I don't think people would necessarily keep the same balance of portfolios running through um they they would um over time was to to alter the structure which in itself would mean they would move away from EIS in perhaps into more fixed interest type stuff.
Tom King's Presentation: Well, yes and no.
Tony Vinelott: Um
Tom King's Presentation: It it would depend on how the previous EIS's have performed because because
Tony Vinelott: well
Tom King's Presentation: because because the thing is if you you you obviously you don't pay any capital gains tax on the on on on a on on any exit.
Tony Vinelott: I
Tom King's Presentation: So if if if if let's say in within the next six or seven years you have a big
Tony Vinelott: agree.
Tom King's Presentation: hit on a on the is and all of a sudden you've got a big gain which is which is which is
Tony Vinelott: Yeah.

Tom King's Presentation: taxfree then that itself if you were looking at it from a portfolio point of view could be the the security or the the risk mitigator of future future EIS's especially considering that the inher that they're not

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Tony Vinelott: Yeah,
Tom King's Presentation: uh But you know the fall outside inheritance tax.
Tony Vinelott: I agree. I agree.
Tom King's Presentation: Now here's an interesting thing and this might this may be wrong because it's a AI telling me
Tony Vinelott: Yeah.
Tom King's Presentation: uh so it says a typical bad case is uh you would lose 20%. Right? But it says the worst case is obviously the the value goes to zero. So actually you've got 70% at risk.
Tony Vinelott: Yeah.
Tom King's Presentation: So the the actual technically the risk of VCTS is far higher than EIS and CIS because if your VCT goes to zero, you've add your 30% back, you your lose everything. But if your EIS goes to zero, you actually your it's the actual risk is inversed. You your risk is 30%.
Tony Vinelott: Yes. Yes.
Tom King's Presentation: But but but the VCT is far less likely to go to zero than a than a
Tony Vinelott: Yes.
Tom King's Presentation: than a than a sing than a single

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Tony Vinelott: Yeah. I mean I think the big worry to be honest is if you got this big
Tom King's Presentation: EIS.
Tony Vinelott: portfolio of EIS's um and for for we think you and I agree that let's say you've got 10 maybe two or three do
Tom King's Presentation: Mhm.
Tony Vinelott: exceedingly well and and you know maybe three or
Tom King's Presentation: Mhm.
Tony Vinelott: four are absolute dogs and in between you've got these that don't really

do I
Tom King's Presentation: Mhm.
Tony Vinelott: think and it one of my worries is what do you do about the the ones which are doing which don't do anything because I don't I don't see you I don't see it being too easy to put those into a private placement. So, how would you how would you offload
Tom King's Presentation: Uh it dep it it it it depends. thought for example something that we could do that we we haven't done uh within lock for example what we could do and
Tony Vinelott: them?
Tom King's Presentation: I'm is we could say uh we want a commitment of dividends being paid if if there's no if there's no exit and we want uh because there's a bit of a scandal at the moment with an EIS uh which is to do with brew dog so uh and what we can also do is we can say we on priority exit because what's h what happened with brewdog is you had all people that come in at the early stage and then we sold the VCT the founders did a vote to give

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Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: themselves prior priority priority exit the VCT did a deal where they got a
Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: compounded 18% or whatever it was over this 10 years and they think that by the time actually the think the the shares that were technically on paper worth a lot of money are going to basically be worth nothing because of the way it's being structured by
Tony Vinelott: Mhm.
Tom King's Presentation: the the the the founders.
Tony Vinelott: Yeah.
Tom King's Presentation: So what so so what we could do as part of unlock is uh we will invest but here's our terms for investing. So so the other the other thing that you can uh perhaps do is
Tony Vinelott: Right.
Tom King's Presentation: you can uh not exactly force But you would be able to there will be a um a mechanism by which you know because if the company's literally not doing anything

Tony Vinelott: Mhm.
Tom King's Presentation: then why isn't it why isn't it just been wound up and and los and loss is cryst loss is crystallized.

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Tom King's Presentation: So what so you you we would be able to have certain things of like of where we would be able to request certain levels of of input and disclosure and whatnot. And if they didn't provide it then we would be able to you know take some form of you know uh legal action for them to provide it.
Tony Vinelott: What
Tom King's Presentation: And if they didn't then they have to essentially w wind down
Tony Vinelott: happened?
Tom King's Presentation: wind down you know. So if you say look if you're not if if by x amount of years you're not paying a dividends and you're not doing xy zed then we you we need to be able to as this group of shareholders look into the books look into this look into that xy z make your life an absolute misery. uh uh un and then you basically force the hand to to wind down because the only reason you can think of is the company's doing all right but the the directors just take just taking a huge you know the the directors are just taking massive salaries and there's no profits left in the business.

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Tony Vinelott: absolutely absolutely which which I'm told is very
Tom King's Presentation: So that's a that's a a real material.
Tony Vinelott: common also with BCT committees you know people reach a comfort level you know they
Tom King's Presentation: Um,
Tony Vinelott: they reach a level they reach an income that they're comfortable with. And as far as they're concerned, they're happy to let that run on rather than just they'll do a trade sale or
Tom King's Presentation: one one one thing one one one thing my granddad was always used to tell
Tony Vinelott: whatever.
Tom King's Presentation: me was about uh like moral hazards, you know, and and then

also that there there's people who start off with good intentions, you know, and they start off with good intentions, but Then all of a sudden the you know they they're faced with something in their life where they where they have to make a choice between you
Tony Vinelott: Yeah, the personal their personal circumstances
Tom King's Presentation: know Yeah. Uh but again what what what this is this is
Tony Vinelott: change.
Tom King's Presentation: uh you know you what what you have to do is be I think is be realistic and go well if we're going to let's say we over the next know five years we've got 20 EIS's that are that are in the overall portfolio not every investor will be invested in all of

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Tom King's Presentation: them but there's 20 that we've approved and we've arranged allocation for maybe a couple of them that's what's going to and and maybe when say there's when we say there's two or three
Tony Vinelott: Mhm.
Tom King's Presentation: that just you know maybe that's actually going to be the going to be the case but and then I think then it's up to us as a as a as a sort of team and organization to sort of do what we can do to protect against something that we know ultimately is going to happen in in in
Tony Vinelott: This is what this is what the point I was raising that let's say you start off with your 20 well out of that
Tom King's Presentation: Mhm.
Tony Vinelott: 20 there's a reasonable chance that half a dozen of them will go by the wayside at
Tom King's Presentation: Yeah.
Tony Vinelott: least. Okay.
Tom King's Presentation: Yeah.
Tony Vinelott: So you're now down to 14.
Tom King's Presentation: Mhm.
Tony Vinelott: So you've then got one or two that do exceedingly well and and you get a multiplier

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Tom King's Presentation: Mhm.
Tony Vinelott: which hopefully will actually pay for all the rest of them.
Tom King's Presentation: Mhm.
Tony Vinelott: Um and they they've now gone out of your portfolio because they they've done a trade sale or they you know whatever.
Tom King's Presentation: Mhm.
Tony Vinelott: Um and so you've got the cash. So your 20ies is now down to let's say 12.
Tom King's Presentation: Mhm.
Tony Vinelott: But it's it's it's 12 which are relatively mediocre. It's they're just doing okay.
Tom King's Presentation: Mhm.
Tony Vinelott: They're not doing sufficiently well they can do a trade sale. They're not doing sufficiently well they can go and turn themselves into a full listing or you know get 10 or 20 or 30 million and the directors are done fat and happy because they're driving around in
Tom King's Presentation: I I would see I wonder what we So what?
Tony Vinelott: their BMWs and able to buy their five five bedroom executive house.
Tom King's Presentation: So what what if we only invested in things where we were able to get 25% or more unlock the unlock network uh was

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Tony Vinelott: of the shares. Yeah. Yeah. Yeah.
Tom King's Presentation: only was able to get 25% or more which would then Yeah.
Tony Vinelott: So you're saying you'd have a controlling interest. Yeah. Well, yeah. I mean, I certainly I'm just looking at, you know,
Tom King's Presentation: No, no. Abs,
Tony Vinelott: the kind of issues that people and and and and how do you mitigate against
Tom King's Presentation: abs, abs, absolutely. I mean, that's the that's the Yeah.
Tony Vinelott: them?
Tom King's Presentation: Well, the the the the 25 the 25%'s a fairly easy one, isn't it?
Tony Vinelott: Oh yeah.
Tom King's Presentation: Because it's like, you know, people are looking to raise 5 million quid, right? Well,
Tony Vinelott: Yeah.

Tom King's Presentation: or or whatever it is they're looking whatever whatever it is they're looking to raise. And we it's up to them. It's up to us. I mean that's uh obviously we got to build a network but I think that's quite a powerful uh the other thing the other thing the other thing that uh we can do which the shareholders can't but we can do it on their behalf and this is where this is where this is where it becomes quite interesting.

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Tom King's Presentation: So for example, unlock could have an an agreement with the company where if
Tony Vinelott: Hey,
Tom King's Presentation: certain uh if we weren't paying a dividend or there was no certain performance the unlock had the the uh opportunity in future to uh to do another round and essentially what you would do is you
Tony Vinelott: Mhm. All
Tom King's Presentation: you would have the you would have the other round at a uh let's call it a penny a share, Right. And at the same time, if they didn't want to accept it, then they had to buy the shares of us for a penny cuz the cuz because the
Tony Vinelott: right.
Tom King's Presentation: thing is if you sell shares for a penny, you can crystallize your losses.
Tony Vinelott: Mhm.
Tom King's Presentation: So that's the that's I mean that's the other thing as well. If you if let's say you've in you've invested in EIS and it isn't worth anything, if if if I if I buy your shares off you for a penny because they're not worth anything, you can crystallize your losses.

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Tom King's Presentation: You you understand what I mean? So, so, so the private placement actually is is quite a good mechanism because you you where private placement is, you actually think in in theory, you think you're selling your shares for for for something that's worth money. But we can have an agreement that says, "No, you could we either we can buy more shares off you for a for for a penny each or you can buy shares off us for a a penny,

Tony Vinelott: Mhm.
Tom King's Presentation: you know, whatever whatever the whatever the figure is." And that would allow you to that would allow us to crystallize the losses. And I think that is actually a uh a very a very a very uh a smart way to do it because the the unlock as a company can have what you can't have as an individual EIS investor is like you couldn't do that as an individual EIS investor because that that means you've got you've got something uh well it no it's it's about having something
Tony Vinelott: This is something go.

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Tom King's Presentation: pre-aggreed So, for example, if you say we're not I'm going to buy this,
Tony Vinelott: Yeah.
Tom King's Presentation: but if it's not that we're going to sell you buying back off you for a penny, then you you that's you don't get that. Sorry. that will uh undermine or whatever your the the EIS criteria because you've got a pre- agree but that unlock as a company as a as a facilitator could say if our sh
Tony Vinelott: Yeah.
Tom King's Presentation: if your company's not in this position then we have the opportunity to facilitate the purchase of the other company for X amount per stock or in in in either way and then you crystallize your losses and I think if we can have something that allows the shareholders to crystallize the losses Then that's really really significant and
Tony Vinelott: Yeah. Yeah, it's I mean too much how you know how how do you get rid of the not so much
Tom King's Presentation: it's
Tony Vinelott: dogs? That's not really fair. But you know, how do you get rid of the the ones that's just never going to give you 10 times 20 times the multiplier or

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Tom King's Presentation: Yeah.
Tony Vinelott: even two times the multiplier that they're just coasting?
Tom King's Presentation: Uhhuh.

Tony Vinelott: You
Tom King's Presentation: Well, the the the the it's it those ones aren't those ones are easier to sell.
Tony Vinelott: know,
Tom King's Presentation: ones that's actually doing all right is is is is is is no problem selling them on the market.
Tony Vinelott: okay.
Tom King's Presentation: You know, company that's making money is and and doing okay.
Tony Vinelott: Okay.
Tom King's Presentation: No problem selling them. The one the ones that are going to be difficult to sell are the ones that are, you know, making a million quid, paying a million quid in bonuses, there's no profit, directors and driving around live living. They're they're the difficult ones. But that's the way you say if these criteria haven't been met then we have the right as unlocked to facilitate the purchase of 25% of the company for x amount of money and so or if you don't want to accept that then you buy then you then you then you
Tony Vinelott: Yeah.

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Tom King's Presentation: buy it back off us.
Tony Vinelott: Yeah.
Tom King's Presentation: Now the the the risk on the other side with that which you'd have to negate is you wouldn't want the company that was doing great to be able to come and buy the you know Yeah.
Tony Vinelott: have to jump you.
Tom King's Presentation: Yeah. Yeah. Yeah. Yeah.
Tony Vinelott: Yeah.
Tom King's Presentation: It's like we're doing 20x. Let's go and buy all the credit. Let's go and buy all the step. But that that Yeah. But but the thing is the the reason why this is good is because it has to be fair
Tony Vinelott: Yeah.
Tom King's Presentation: market value. So the rules of EIS is you have to be able to and so what we what we would maybe what we could maybe do is agree a value a value because obviously the thing is with EIS is ultimately PE it's worth what someone's willing to pay for it right at the you know at the at the at the beginning you know we we

we could sit here now we I could do some research the next two three days which I've started by the way and I could say that the the thing that my daughter's building is worth 1.7 million quid based on XY, but ultimately it's not unless anyone's willing to pay it, right?

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Tom King's Presentation: So what we but what we could do and should do in fact is agree a
Tony Vinelott: Okay.
Tom King's Presentation: a sort of system where we agree what the shares are valued at and how they're going to be
Tony Vinelott: Mhm.
Tom King's Presentation: valued which then allows a fair because basically what we want to be able to do is we want to be able to get the shares down to to worth nothing if if if it if we want the shares to be worth nothing. We want the shares to be worth nothing. you know, I I sell you my shares for nothing, for a penny, so I crystallize my losses. Somebody, you know, and you facilitate the a private placement for for next to nothing. I ideally back to the to the business or to, you know, or or whatever. But that's the mechanism that you that you would need to have in place to be able to actually
Tony Vinelott: The alternative would be to enable to enable you to force them to have a trade sale.

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Tom King's Presentation: Well, you can't for Yeah, but you can't you can you can't force someone if there isn't a buyer.
Tony Vinelott: No, I accept that. I accept
Tom King's Presentation: So, you know, if you if you if you could if you you know, that's a great for,
Tony Vinelott: that.
Tom King's Presentation: you know, if you can if you can if you can find someone who will invest in this, you know, this this cockro nonsense that then they'll snap your hands off. But I think I think the problem is when there's when is it a when there's a company that we that we the shareholders or we the unlock community, whatever you want to call

it, we're not getting any value from it. We don't expect any value from it. We want to crystallize our losses. And the only way for us to do that is to offload our shares which are which are which aren't worth you know which aren't worth the paper they're written on because and but but what we would be able to do is say if that

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Tony Vinelott: All right.
Tom King's Presentation: scenario was reached we would expect uh to be able to facilitate the the essentially the crystallization of losses.
Tony Vinelott: All
Tom King's Presentation: And the company could do that by basically by basically
Tony Vinelott: right.
Tom King's Presentation: saying we they would have to agree to sell us to sell us for us to facilitate the buying of their shares for for uh a certain price. And if they and if they didn't if they didn't agree to buy our shares for the certain then they had to sell us theirs for that price. See what I mean? So you could say if if we we'll sell the shares for a penny or we'll buy your shares for a penny. Pick pick one and if and if if we if we pick them then we're going to buy 50 of the business and we're going to close it, you know. Or you can buy our shares and then we can crystallize our losses. So I think that would be and again it was it's all about and this is what I watched a great thing the day.

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Tom King's Presentation: It's all about the terms what's agreed up up up front. So, you know, so technically now I can go and with unlock I can go and give myself priority access on on on any I can do what I like, right? technically, but there should be a uh a thing and that and you could even have something probably that says even if the even if you don't reach the 25% threshold that actually the the the community of unlock investors are counted as having uh uh a you know a a stake significant controlling you know a controlling interest or or whatever. So, it's it's about those terms that that are agreed from the from from the offset, you know, and and and as I say, I want to I'm going to uh eat my own, you know, take my own medicine, which basically means I want to to we we should be the the example of how it's of of how it of how it's done, you know, because it's and and again, that in itself is probably uh an and you know if if you

frame it properly, it then becomes an a feature of the of what it is that we're

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Tony Vinelott: Yeah.
Tom King's Presentation: doing because it's it's it we're preempting.
Tony Vinelott: Oh
Tom King's Presentation: Yeah, we'll give you a million quid or we'll get half a million quid together for you,
Tony Vinelott: yeah.
Tom King's Presentation: but here's the terms of doing it and here's what the and all of a sudden there's a the the risk associated with EIS. Even though you wouldn't be able to say it explicitly, the risks associated with investing in EIS would be far far far less doing it through an unlock company than doing it through any other EIS because of those term.
Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: What I now need to work on is a lot of terms that are far better for you know
Tony Vinelott: Yeah.
Tom King's Presentation: not better that are fair for companies that we're
Tony Vinelott: Mhm.
Tom King's Presentation: looking at. Excellent. That that but that really is a is an excellent place to to land on. Give me one second. I need I need to toilet. I always do this to you but I will be quick.

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Tony Vinelott: If you're good, I'll
Tom King's Presentation: Okay. There we go. I beat you.
Tony Vinelott: You're younger than me.
Tom King's Presentation: uh yeah, that's quite uh
Tony Vinelott: So the the other thing which I've got now involved with my portfolio that isn't in there
Tom King's Presentation: Uhhuh.
Tony Vinelott: um is as I've said to you um some of these investments I'm actually

making doesn't really matter whether it's property or whether it's whiskey um I'm actually putting in the names of my
Tom King's Presentation: Uhhuh.
Tony Vinelott: grandchildren.
Tom King's Presentation: Uh-huh.
Tony Vinelott: It's actually part of my portfolio which I'm managing but it's already in their
Tom King's Presentation: Mhm.
Tony Vinelott: name but because I bought it,
Tom King's Presentation: Uh-huh.
Tony Vinelott: you know, with my money which let's say okay I put into their name.
Tom King's Presentation: Uh-huh.
Tony Vinelott: Let's say I bought um a12,000 bottle of a cask of whiskey which which I given to my grandson Ethan.
Tom King's Presentation: Uh-huh.
Tony Vinelott: Okay, but I bought that with my money.
Tom King's Presentation: Yeah.
Tony Vinelott: So we're now on the seven-year rule deal.

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Tom King's Presentation: Yeah.
Tony Vinelott: although I've given it to him there's there's inheritance tax in relation to that for the next seven years is there any way you could track that in the
Tom King's Presentation: For the next seven years. Mhm. Of course.
Tony Vinelott: portfolio and the same applies to the house okay
Tom King's Presentation: Yeah.
Tony Vinelott: so I've got the four houses I've already given one of the houses to the
Tom King's Presentation: Mhm. Mhm.
Tony Vinelott: kids and I did that five years ago so I've only got two more years to channel.
Tom King's Presentation: Mhm.
Tony Vinelott: So because if you are going to track um the IHT benefit non IHT benefit that would actually contribute towards your the
Tom King's Presentation: Yeah. Well, this is this is this is this is this is this is the thing.
Tony Vinelott: money's
Tom King's Presentation: What we what what what we're doing what we've done so far

is is not taking into consideration all of these all of these events that may or Yeah.
Tony Vinelott: precisely. Precisely.

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Tony Vinelott: So because what trigger it off in my mind is you you know you showed me that example which kind of said there's four million and whatever left over at the end whatever whatever the end is. Um and it then said and that's that's 2 million something or other after inherited tax. But in actual fact,
Tom King's Presentation: Yeah.
Tony Vinelott: if I've actually been buying um EIS's or I've actually been
Tom King's Presentation: Mhm.
Tony Vinelott: which which is going free of IHT after two years or I put stuff into
Tom King's Presentation: Mhm.
Tony Vinelott: AIM which is free of of IHT or I'm putting stuff into
Tom King's Presentation: Yeah.
Tony Vinelott: um I've got the seven I've got the sevenyear rule applying that
Tom King's Presentation: Whiskey or art or any of collective. Uhhuh.
Tony Vinelott: that free of IHT is building up all the time and that's so in fact that
Tom King's Presentation: Yeah.
Tony Vinelott: the that what you must have calculated let's say 1.5 million
Tom King's Presentation: And then I I suppose the the other the other thing that the other thing that we have to figure

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Tony Vinelott: IHT
Tom King's Presentation: out is um so let's take a couple of examples right so let's take so with whiskey as as as an example we also need to factor in that from from from a lot of my experience of of of
Tony Vinelott: Sure.
Tom King's Presentation: is sometimes people don't get back what they expect or they don't get back what they're paying. So yeah, need to need to need need to need need to factor that in um with you know depending on what type of art that is bought as well because Somebody somebody could have a I mean I suppose it doesn't really m I

suppose it doesn't really matter because yes they say there's the whiskey there's the art there's a thing and the fact whether it's it's it's almost like I think with those type of things you you almost want to put it so in fe in in on paper you've got a million pound in uh inheritance taxfree assets right on on paper, but it doesn't actually matter whether you end up getting 500 grand for them or you end up stuck with them or

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Tony Vinelott: Yes.
Tom King's Presentation: whatever it is. The point is it's being passed on without any without without any inheritance tax.
Tony Vinelott: Yes.
Tom King's Presentation: Um, so
Tony Vinelott: Even though some of that so some of that benefit is deferred in the case
Tom King's Presentation: yeah.
Tony Vinelott: of EIS by two years in the case of AIM immediately in the case of the
Tom King's Presentation: Yeah. With
Tony Vinelott: investment the whiskey and the property seven years so it's a deferred benefit but yes
Tom King's Presentation: Yeah.
Tony Vinelott: I
Tom King's Presentation: Yeah.
Tony Vinelott: agree
Tom King's Presentation: Um,
Tony Vinelott: it's another feature you could build in that was
Tom King's Presentation: well, it absolutely is. And as a as and I'm just I'm just thinking how so really what you would what what what we'd need to do is with each asset the qualifying asset you would then be able to go do you wish to trans you know do you wish to transfer this asset now to avoid and you would just go down one by one by one how do you want to do it how and and you and ideally you

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Tony Vinelott: And when the when Yeah.
Tom King's Presentation: would be able to and yeah and when and it would I don't see

why it shouldn't even also actually be able to facilitate it. What I mean so for example with with whiskey what what is the actual process of of of of of gift of gifting it? Do you
Tony Vinelott: Well,
Tom King's Presentation: know?
Tony Vinelott: in my case, I mean, I bought the stuff, I gave them the cash, it's on my portfolio. But if you actually look at the the
Tom King's Presentation: But it's in the it's so it's not that you're transferring it. it's already in the it's already in the name for
Tony Vinelott: Yeah. So, the certificate the certificate I've got that says I'm the owner of this cast has got Ethan's name on
Tom King's Presentation: you. But in in in other instances though,
Tony Vinelott: it.
Tom King's Presentation: people might be like, "Oh, I wish I'd done that." So, in their case, they might want to transfer uh uh the the owner the the ownership, right?

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Tony Vinelott: Wish they can do
Tom King's Presentation: Which they could which they which they can do, but they might not they might not have have of have thought about it, you know? Oh,
Tony Vinelott: I
Tom King's Presentation: they might they might have just because so it would be it would be a good it would be a good thing to
Tony Vinelott: agree.
Tom King's Presentation: prompt somebody on oh who's this is this in your name? Yes. uh do you understand the benefits of you know putting it in somebody else's name for an inherit you know from a inheritance tax point of view because because the other argument is let's for examp say that someone's got a million pound in collectibles and alternatives that is that are in demand you know properly you can sell them right so the worst is you know you can't sell them but in in depending on what it is
Tony Vinelott: There's
Tom King's Presentation: and you you will be able to go to sell them so actually really if you want to leave someone a million quid you're far better off leaving them a million pounds worth of art and whiskey and everything else that they can then go and then than than any other way,

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Tony Vinelott: H.
Tom King's Presentation: isn't
Tony Vinelott: quite
Tom King's Presentation: it?
Tony Vinelott: it's quite funny because I quite an argument with my daughter about this because as I said to
Tom King's Presentation: I don't want the whiskey.
Tony Vinelott: you I I haven't given her any whiskey.
Tom King's Presentation: I don't want the money.
Tony Vinelott: I've only given her cash. Um the because until my wife died, I I showed absolutely no interest in inheritance tax whatsoever. As far as I was concerned,
Tom King's Presentation: Uhhuh.
Tony Vinelott: if they got anything, they should be f****** grateful for it.
Tom King's Presentation: Yeah. Yeah. Yeah. Yeah.
Tony Vinelott: So I was really only concentrating entirely on us and the lifestyle that we
Tom King's Presentation: Mhm.
Tony Vinelott: had. And as far as I was concerned, there was sufficient money in the kitty that you
Tom King's Presentation: Yeah.
Tony Vinelott: know precisely.
Tom King's Presentation: You can carve it up at the end and I'm not I'm not here to worry about it
Tony Vinelott: So it was only when she passed away, I suddenly started to think, well s***, there's only me left.

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Tony Vinelott: And the fact that well there is that in
Tom King's Presentation: and you don't want and you don't want them bastards to get their hands on it. And by the way, by the way, I'm talking about HMRC.
Tony Vinelott: ter about the grandchildren as well
Tom King's Presentation: You're not
Tony Vinelott: but the um I mean I I mean I was actually going down the route of putting the money into a trust for them. um and indeed I did set up a trust although I have actually canceled it again since and taken the money back um because because of the

tax implications of the trust and it was just kind of too messy. But the um but I'm still thinking about putting stuff into a trust and the the portfolio managers are still trying to encourage me to do that. Um and it would save money so you wouldn't lose money in in terms of uh compared to leaving it in my pension. So I could take a lump sum of that as my pension. I could pay the 45% tax on it and it would still be big be still be beneficial in terms of giving to them uh to put into a trust in their name.

01:06:11

Tony Vinelott: Uh it would be cheaper even after then paid the 20% tax on it because it I can put
Tom King's Presentation: Mhm.
Tony Vinelott: in 325,000 every seven
Tom King's Presentation: So if you take 325 grand out,
Tony Vinelott: years.
Tom King's Presentation: you pay 20%, you give it to them and and you do that on a and is but
Tony Vinelott: Yeah. If I if I take if I take 325,000 out of my portfolio
Tom King's Presentation: but
Tony Vinelott: now, my my my pension and and I put it into their trust,
Tom King's Presentation: Mhm.
Tony Vinelott: if I can do that. I take the 325,000 I I have to pay uh tax I have to pay tax
Tom King's Presentation: 20%.
Tony Vinelott: on because it's it's right it's treated as an income for me.
Tom King's Presentation: Yeah. Uh-huh.
Tony Vinelott: But once it's in there, it's growing free of all kind of capital gains and um income tax with
Tom King's Presentation: Yeah.
Tony Vinelott: within that trust. And if I put 325 in there,
Tom King's Presentation: But if if straight

01:07:01

Tony Vinelott: it's free of any inheritance tax straight away because that's my
Tom King's Presentation: away, right?

Tony Vinelott: inheritance tax allowance. And in seven years time,
Tom King's Presentation: Uhhuh.
Tony Vinelott: I have another seven another 325,000.
Tom King's Presentation: Oh, you go and do it every seven years. Yeah. Yeah.
Tony Vinelott: You can do every seven years.
Tom King's Presentation: Yeah. Well,
Tony Vinelott: Yeah.
Tom King's Presentation: that make that that probably makes sense anyway, doesn't it?
Tony Vinelott: Yeah.
Tom King's Presentation: As a as a regardless of what else is is going
Tony Vinelott: Yes.
Tom King's Presentation: on,
Tony Vinelott: Yes. Something, you know, it's
Tom King's Presentation: but again,
Tony Vinelott: um
Tom King's Presentation: it's one of it's one of the things where I don't know if everyone if everybody I mean I didn't actually know that you could do that every seven years.
Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: So, it's one of those things. Well, I suppose when you're looking at because it's not going to
Tony Vinelott: Yeah.

01:07:38

Tom King's Presentation: be what for some people it might be for some people might go, do you know what I can I can I've got I've got 700 grand and I'm and and and I and I'm going to take 325 out now another in that and that's me done. So it so it dep it it depends on the size of the portfolio.
Tony Vinelott: That's right.
Tom King's Presentation: Go for the
Tony Vinelott: And the benefit is I I set mine up as 125 year
Tom King's Presentation: paper.
Tony Vinelott: discretionary fund which basically means that the the grandchildren at no time would have access to the
Tom King's Presentation: Mhm.
Tony Vinelott: capital if you think about it because the chances of them living 125 years from the age of 20

Tom King's Presentation: Yeah.
Tony Vinelott: which they are now is unlikely. Um,
Tom King's Presentation: Uh-huh.
Tony Vinelott: so you're actually already passing on to their children and their grandchildren.
Tom King's Presentation: Uhhuh.
Tony Vinelott: The the trustees can actually allow them to have access to the money at the at the trustees discretion.

01:08:27

Tony Vinelott: So if if for some reason,
Tom King's Presentation: Okay.
Tony Vinelott: you know, my grandson says, "Well, thank you very much, granddad. I'll go and buy myself a Ferrari." Then the trustees can just say,
Tom King's Presentation: But who's who's the who's then the trustee?
Tony Vinelott: "Well, that that would be for me to establish." The problem is going forward you
Tom King's Presentation: Uhhuh. Well, yeah, cuz I tell you what,
Tony Vinelott: know.
Tom King's Presentation: let me buy I'll give you give me the money for Ferrari and I'll give you five grand. you know.
Tony Vinelott: Yeah. You know you can go down various routes.
Tom King's Presentation: So,
Tony Vinelott: One one is you know you make it the portfolio manager you you know the portfolio company you make it the
Tom King's Presentation: yeah.
Tony Vinelott: solicitor and a partner.
Tom King's Presentation: Do checks and balances in there.
Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: What what it what it can and can't be used for type of thing.
Tony Vinelott: And you can and then and then you can you can establish

01:09:06

Tom King's Presentation: It can't be used for it can't be used this. It can't be used for Yeah.
Tony Vinelott: maybe five factors like housing deposits, medical, um education, um unemployment. You you can establish five reasons or any number of reasons as to why they could automatically be given the money. Um you know, as long as they could prove the case kind of thing. Um but what they couldn't do is just take a whole lump sum, you know, without the discretion of this of the trustees and and that would the other benefit is at no stage is the money part of their estate because it's not actually theirs. And so if they get divorced, the the new spouse doesn't get half of it because that's the other concern. You know, I've gone out and generated this cash. I've given it to them. They get, you know, they're going to get married. There's a 40% chance they're going to get divorced.
Tom King's Presentation: And then and and and and and when and then there's a 100% chance they've taken half of it.

01:10:13

Tony Vinelott: Yeah. And then there's And then once it been divorced,
Tom King's Presentation: So basically there's a 40% chance that they're getting after that you leave
Tony Vinelott: one And then there's another chance to get married again and
Tom King's Presentation: them.
Tony Vinelott: get divorced again because once you got divorced once, you've got a much higher chances of getting divorced twice.
Tom King's Presentation: The chances Yeah.
Tony Vinelott: And um and and so that's you've already lost, let's say, 40% of it. You could now lose another 40% of the remaining
Tom King's Presentation: you know, you know, you know,
Tony Vinelott: 60%.
Tom King's Presentation: you know what? It's really interesting. So, when I was saying about like uh with the if you want to be tax efficient and then go to the sort of the learning center to learn about learn about it. It's not just that, is it? It's do you want to learn about inheritance tax and the options available to you and have you considered this? because I bet like you know the amount of people that'll be that'll say you know that oh you know I can't stand I can't stand my my my husband's my do my son's wife or

I can't stand I don't you know or I don't think oh that's not going to like I said you know my my my grandma that that's not that's never going to

01:11:13

Tony Vinelott: Well, I have an issue about my daughter's my daughter's
Tom King's Presentation: last yeah you you told me but
Tony Vinelott: husband.
Tom King's Presentation: my point my point is that there there's there'll be a lot of people that actually don't realize that there's something they can do about And so that would be that would be another I think another key aspect of of the platform would be just
Tony Vinelott: Okay.
Tom King's Presentation: letting people understand the different options and understand the different you know and the the sim simulate different different uh scenario scenarios
Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: cuz I think I think there's I think there's a lot of people that don't know about the sevenyear thing you know the I And I may be wrong.
Tony Vinelott: It's okay. No,
Tom King's Presentation: I don't know.
Tony Vinelott: I'm sure you're right. Is she
Tom King's Presentation: You know, because as we've said,
Tony Vinelott: right?
Tom King's Presentation: most of it's about cuz you as I take it um before the the uh Kate died, you you didn't know because you said you weren't looking into inheritance

01:12:13

Tony Vinelott: Oh, no. That doesn't mean I wasn't aware of some of the stuff,
Tom King's Presentation: tax.
Tony Vinelott: but yeah, that wasn't it. It wasn't a driver at all. You know, like you asked me earlier on,
Tom King's Presentation: Uhhuh.
Tony Vinelott: but you know, is inheritance tax one of your key drivers? The answer was

no. It just wasn't.
Tom King's Presentation: Mhm.
Tony Vinelott: Um what was a key driver to me was maximizing my post post tax income.
Tom King's Presentation: Yeah.
Tony Vinelott: That was that was my driver because that's what what actually drove our retirement age.
Tom King's Presentation: Yeah.
Tony Vinelott: You know every every six months I would calculate what what
Tom King's Presentation: O, do you know what?
Tony Vinelott: our our our net tax income would be if either one of us
Tom King's Presentation: Well, that do you know what about
Tony Vinelott: retired.
Tom King's Presentation: what about this? Right. So, what about um if someone if someone says okay I and this is a it's a bit uh not um well I'll just say so let's say you've got someone who's in in their 40s 50 whatever whatever age and they go and and and not just how much obviously in your case it's you're looking at the accumulation plan but in my

01:13:14

Tony Vinelott: Yeah.
Tom King's Presentation: case I'm probably looking at how much do I actually need to get to So, so that I can then do my accumulation, right?
Tony Vinelott: which is what I used to do when when we were
Tom King's Presentation: H But, but, but, but, but, but, but, but, but, but, but, but, but then Yeah.
Tony Vinelott: working and I did that every six months for about 10
Tom King's Presentation: But then you're going to have Uhhuh.
Tony Vinelott: years.
Tom King's Presentation: But then you're going to have, and, this is me coming back to the EIS.
Tony Vinelott: And you know that valuation I sent you the sheets that that's why I had that done to
Tom King's Presentation: Yeah. Mhm.
Tony Vinelott: demonstrate to Kate she could afford to retire.
Tom King's Presentation: Yeah.

Tony Vinelott: So, as far as I'm concerned,
Tom King's Presentation: What?
Tony Vinelott: I could come up with all the stuff, but I wanted somebody else to come along and say,
Tom King's Presentation: Yeah. Yeah.
Tony Vinelott: "It's
Tom King's Presentation: She she she sounds a bit like Claude where logic and facts don't aren't aren't aren't

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Tony Vinelott: right."
Tom King's Presentation: important to you know they they don't don't try don't try and win a a discussion with logic
Tony Vinelott: Yeah.
Tom King's Presentation: and facts. But but uh but but what I was going to say was in my in my
Tony Vinelott: Yeah.
Tom King's Presentation: case so let's say right I want to you know 20 million quid and safely liquid you know but I I I can go um where am I where am I now? Okay. So, I I've got a lot of work to do to get there, you know, and what and what you might actually be able to do is position certain types of
Tony Vinelott: Yeah.
Tom King's Presentation: investments as whether the likelihood that they will actually uh get you to where you know, for example,
Tony Vinelott: You don't need you don't need 20 million quid.
Tom King's Presentation: with
Tony Vinelott: What you need to do is decide what you need as an amount of of net income.
Tom King's Presentation: Yeah.
Tony Vinelott: That's that's actually the driver.
Tom King's Presentation: Yeah.

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Tony Vinelott: How much money you need to generate that is is irrelevant.
Tom King's Presentation: this.
Tony Vinelott: The the thing which is relevant is is what that actual net income actually is.
Tom King's Presentation: Yeah.
Tony Vinelott: And that's a mixture of of of of taxations across different investment groups. Whether it's an ISO, whether it's a pension, whether it's bonds, whether it's, you know, um property,
Tom King's Presentation: So yeah, even see the thing is irrelevant and even
Tony Vinelott: the amount of the actual finite money is itself not
Tom King's Presentation: though and even even though we've been doing this for for for you know for for a few
Tony Vinelott: relevant.
Tom King's Presentation: months now let's say and I know that my instinct is still to to to think to
Tony Vinelott: You got the money, the
Tom King's Presentation: think to think about the capital which is which is one of the the the the sort of things
Tony Vinelott: capital
Tom King's Presentation: that we where the the not the agenda but the the the what we're trying to get across to people is it's it's kind of irrelevant, right?

01:15:48

Tom King's Presentation: That this it's a
Tony Vinelott: that driver I gave you in all the accumulation model was all about net income because at the
Tom King's Presentation: yeah but it but the I guess
Tony Vinelott: end of the day that's what the people live on.
Tom King's Presentation: my one of the things that I was look but obviously let me put it another way then. Okay. So let's say there's a you know an exit there's there's an exit of in you know five years time of of unlock and I and I and I get 20 million quid from it right for for for argument sake. So it that does obviously then play into the to the so they're not they're not not they're not unconnected
Tony Vinelott: Oh, no. No.

Tom King's Presentation: or uncorrelated.
Tony Vinelott: I mean, you obviously you obviously need the capital in order to do the investment to get the net income.
Tom King's Presentation: Yeah. But but what but but but what but what but but what I was going to say was with the interesting thing about EIS and SEIS in partic so let's just say that you know we we we we do that rule of averages right and and and I think I mentioned you on our last call that Martin one of our other investors he mentioned that you know what about I just really wish I began doing as he asked when I was you

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Tom King's Presentation: know 30 I wish I was doing it 20 30 years ago you know and then you think But but what we could do with it is position it as the what's the like look if you if if if someone now who's 35 years old is earning a quarter of a million pound a year and if they start maximizing their EIS and SEIS allowance what's
Tony Vinelott: Mhm.
Tom King's Presentation: the chances let's say that that brings them to the point where they can retire 15 years sooner or 20 year sooner and you compare that to what's the chances of of of the other option of other options that are available to them because it's it's it's one thing saying which I think is right how you should be thinking is what income you're going to have to live on you know for the at that stage but
Tony Vinelott: Yeah.
Tom King's Presentation: then it's about what actions can you take now that that could that could that can impact
Tony Vinelott: Uhoh.
Tom King's Presentation: that and EIS and then placing an SE and SIS and building a portfolio as Something that whilst has whilst it has risks is something that if it's done well can actually get you to the point where you can be, you know, retiring when you're 55 instead of

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Tony Vinelott: Yeah. I mean, one of the questions I used to get asked a lot when I was when I was working was um by
Tom King's Presentation: 65.

Tony Vinelott: journalists was should I recommend my readers to invest in pensions and shares or should I encourage them to invest in property because of course you know property is very popular in UK to invest in. And I said well the answer to your question is yes. How do you mean the answer is yes. And I said, "Yes, they should invest in shares and pensions, and yes, they should invest in property. It's not an either
Tom King's Presentation: Yeah, exactly.
Tony Vinelott: or.
Tom King's Presentation: And and the the the other thing that happens I guess with most people when you when you're outside of finance is and possibly when you're in it as well, but certainly when you're outside of it, people have an get investment biases. So they buy their own house when they're 20, they buy the second house in the 22 and before they know it, they've got a property portfolio with 17 houses, but they don't have, you know, they don't any stocks and

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Tony Vinelott: Yeah. Well, one one of my friends sold his business for six and a quarter million and and went home with like five and a
Tom King's Presentation: shares.
Tony Vinelott: half, okay,
Tom King's Presentation: Mhm.
Tony Vinelott: after tanks and bought um an upgraded house for himself for three and a half million and then bought 10 student properties in
Tom King's Presentation: Mhm.
Tony Vinelott: Reading and that was his as far as he was concerned that was job
Tom King's Presentation: Mhm.
Tony Vinelott: done.
Tom King's Presentation: Yeah.
Tony Vinelott: He never had a pension in his life. He still hasn't got a pension.
Tom King's Presentation: Uh-huh.
Tony Vinelott: He doesn't own any shares.
Tom King's Presentation: Uh-huh. And he's got he's got 10 he's got 10 rentals coming in a three and a half million power house.
Tony Vinelott: Well, yeah, he's got these 10 students properties in Reading. Um, he he lives about 30 miles from Ready and um and of course that's managed for him through a a managing agent, you know, estate agent. They collect all the rents and all the rest of it, check out all the students, um, all the rest of the bollocks and for which obviously

charge him a fee somewhere between 12 and 15%.

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Tony Vinelott: Um, then he he just sits there and takes in the money because because he's been brought with an environment where, you know, invest in property because it's bricks and
Tom King's Presentation: Yeah.
Tony Vinelott: mortar.
Tom King's Presentation: And which a lot which which a lot of people
Tony Vinelott: Yeah. Of course. Yeah.
Tom King's Presentation: do.
Tony Vinelott: Yeah. What people don't do, of course, is take into account the cost of maintenance of things like student flats because pretty they're pretty run down. So, so they do take a lot of maintenance. But, you know, people don't want to people don't want to know about the cost of owning property. They only want to know about the benefit.
Tom King's Presentation: Yeah. And the cost dealing with people deal with dealing with tenants and all the rest of it is oh
Tony Vinelott: Oh, which becomes an increasing nightmare as uh you know Labor government keeps on making the rules even you know
Tom King's Presentation: terrific.
Tony Vinelott: more more difficult. They work on the assumption that all all landlords are terrible and all all tenants are

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Tom King's Presentation: Yeah.
Tony Vinelott: wonderful. So from the 1 of May,
Tom King's Presentation: Uh
Tony Vinelott: if if you're a landlord, your your ability to get rid of or get what's known as section 21, which is enabling you to chuck somebody out,
Tom King's Presentation: yeah.
Tony Vinelott: u becomes extremely limited unless you actually can prove that you wish to sell the property for some
Tom King's Presentation: Oh,

Tony Vinelott: reason.
Tom King's Presentation: you want to I approve you want to move back into it or something like that, isn't it?
Tony Vinelott: Oh, oh, you you are a relative.
Tom King's Presentation: I think there Yeah.
Tony Vinelott: Yeah. Back into it. Yeah. Yeah. It's uh so they're making it wasn't it's not just the Labour party because um Michael Gove was doing it previously but he was a housing minister for this for the tries. So and so that you know they on the one hand they keep on complaining that rents are going up because there aren't
Tom King's Presentation: Mhm.
Tony Vinelott: enough properties and then at the same time they're making it less and less and less pleasant to rent out properties.

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Tony Vinelott: I just you couldn't make it up. Surely if they want to increase the number of rental properties and thereby help bring down the rental costs, surely they should be encouraging people to become by select landlords rather than discouraging them.
Tom King's Presentation: You think so? But I don't. But yeah,
Tony Vinelott: But it is not the mentality.
Tom King's Presentation: that's the assumption. That's the assumption they've got any idea they know what they're doing though, isn't it? And and uh
Tony Vinelott: There is that. There is that.
Tom King's Presentation: which so it it was funny.
Tony Vinelott: Yes.
Tom King's Presentation: So because obviously at this uh uh go to this school and you know I don't know if you remember the you know James Blunt the singer.
Tony Vinelott: I certainly do. I never met him, but I have seen him
Tom King's Presentation: Well, well, his his his he Well,
Tony Vinelott: once.
Tom King's Presentation: check this out for the school that I go to. So, last year at the end of year uh summer event when they closed the school for the summer, James Bunt was doing an acoustic set in the garden, you know,

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Tony Vinelott: Right.
Tom King's Presentation: because his his children go there. So,
Tony Vinelott: Okay.
Tom King's Presentation: uh you know, uh uh you know, you remember the supermodel Caprice? So, her children go her children go her children go there.
Tony Vinelott: Yes.
Tom King's Presentation: So you have all the you know you have all this type of uh and then you have people that you've you no idea no idea who they are there's nothing about them on there's nothing about them you know you don't know anything about them nobody knows anything about them all you know is they turn up in a a Ferrari SUV you know and and and uh the you know that their their children let let's say in the playground that they've got a sevenstory list in the house you know you know
Tony Vinelott: Yeah.
Tom King's Presentation: so you you've you you've you've got uh no idea.
Tony Vinelott: Yeah.
Tom King's Presentation: Anyway, so when we were thinking about what, you know, why are the school protecting these families and not letting them and so they've all there's all these rumors going around that, you know, you can just pay and, you know, someone will just pay to buy the school off and keep them in the school and all the rest of it.

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Tom King's Presentation: And and after it was it was yesterday when I came home and I said, "You know all these rum do you know all these rumors that have been hearing about how how you can pay the school and I said I actually know I actually know what it is. What what is it they're trying to protect?" They're just absolute f****** incompetence is is the only is is is you know the the reason the reason they're nervous is because if you pick the lid what you'll find it's not you know and and a great thing is ne never
Tony Vinelott: Yeah.
Tom King's Presentation: rule out incompetence you know it's it's the uh
Tony Vinelott: Yeah.
Tom King's Presentation: um I'm still trying while I'm talking I'm still I'm still trying to figure uh I'm still trying to figure out trying to do something to figure out the uh the the risk of So which it was an octopus. What what was the what was the actual specific case of the VCT or the fund that lost money with with you?

Tony Vinelott: Yeah.

01:24:39

Tony Vinelott: So, there's two and they're both called Octopus.
Tom King's Presentation: So,
Tony Vinelott: One one's one's Octopus Tit Titan and the the other one is
Tom King's Presentation: okay. Yeah.
Tony Vinelott: Octopus AIM. And they're both listed. They're both listed.
Tom King's Presentation: So, what actually you're saying is it's not that the the funds are still there, but it's just for you going for you to crystal. It's it's the if you want to be exit,
Tony Vinelott: Exit.
Tom King's Presentation: you've got to Yeah.
Tony Vinelott: But what I'd like to do now is to sell my shares I bought to 10 years ago. Well, if I was if I was quite honest, the shares I wish to sell are the ones I've inherited from Kate. I've only just got them certificated in my name. So, I was going to sell them.
Tom King's Presentation: Mhm.
Tony Vinelott: So, so I could invest them this year to, you know, buy some more for for next year. And and that's when I looked up and see saw how much they were worth.

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Tony Vinelott: It was just like I knew they'd gone down 40%, but I found they gone down 80%. I was like, f****** hell. Um, and that's when I got in touch with Cindy and said, you know, what the hell's going on? She said, in actual fact,
Tom King's Presentation: No, it's She told you it's been
Tony Vinelott: Yeah. Yeah. She said,
Tom King's Presentation: great.
Tony Vinelott: in actual fact, if you wanted to sell them, you couldn't because they actually um they suspended them. They won't sell them.
Tom King's Presentation: Oh, f******
Tony Vinelott: they won't buy them.
Tom King's Presentation: hell.
Tony Vinelott: I mean, you know, you just can't sell them. So, have to wait for a window for them to allow you to sell them.

Tom King's Presentation: So, so these
Tony Vinelott: But when they go down to such low value,
Tom King's Presentation: so
Tony Vinelott: no matter what, it's very hard to get them anywhere, you know,
Tom King's Presentation: anyway back to where they were.
Tony Vinelott: back to the
Tom King's Presentation: So, so with the with the with the so Octopus Titan and Octopus AIM are both

01:26:08

Tony Vinelott: Yeah.
Tom King's Presentation: VCTs and and but and VCTs all by definition every
Tony Vinelott: Yes.
Tom King's Presentation: VCT is is available to trade on the AIM the fund.
Tony Vinelott: the the funds. Yeah, the Yes,
Tom King's Presentation: Yeah.
Tony Vinelott: they're all listed
Tom King's Presentation: all.
Tony Vinelott: companies.
Tom King's Presentation: So that actually to to to to what what what we what we can find out quite simply I think is because there's there's a big difference between if if we say historically what h if someone buys and sells buys on the 1 of January and sells on the 1 of what a you know fifth of a fourth 1 of April every year somebody buys funds uh VCT funds and then they sell them five years later uh on the in what's been the performance of all those uh uh uh funds taking that strategy because the argument would be well you haven't lost it because it's there and it could go up and it gets all it gets all convoluted but actually the simple thing am I right in thinking if you just look back and said if you

01:27:14

Tony Vinelott: Yeah.
Tom King's Presentation: took every single uh uh uh uh BCT fund that was ever traded on the AIM and you took that approach coach. What is actually the performance of

Tony Vinelott: They trade on the full market.
Tom King's Presentation: them?
Tony Vinelott: They're traded on the foot. See?
Tom King's Presentation: Okay.
Tony Vinelott: They're not They're not on the a
Tom King's Presentation: Sorry.
Tony Vinelott: market.
Tom King's Presentation: Okay. All if we if we look if we we um Let's say it's 100 Because I think what we've what I've understood here as well based on uh what was the girl called the lady called who you do your PCTs with isn't it?
Tony Vinelott: Cindy. Cindy
Tom King's Presentation: That was it. So I think the thing the thing is what what what you what we actually need to do is to
Tony Vinelott: in
Tom King's Presentation: define the the guard rails of how you how you how you do performance because if you don't have a standard way of measuring it and say we're we're we're measuring VCT performance based using this and that's how we're doing it.

01:29:06

Tom King's Presentation: There's lots of other ways that you can do it and people are free to do it which way is the one.
Tony Vinelott: Yeah,
Tom King's Presentation: But the key is to have one that you're consistent with,
Tony Vinelott: I
Tom King's Presentation: right?
Tony Vinelott: agree.
Tom King's Presentation: You can't you can't you can't you can't measure the failures in a different way to you
Tony Vinelott: Yeah.
Tom King's Presentation: measure the winners because you know
Tony Vinelott: Yeah. Only Only people who are better than the dogs do that.
Tom King's Presentation: Yeah. Yeah.
Tony Vinelott: Only count the winnings. They don't count the losses.
Tom King's Presentation: Yeah.
Tony Vinelott: which has a very good interesting introduction to to to betting at the bookies when I was a kid. And every summer I used to go and work on on building sites.

Tom King's Presentation: Mhm.
Tony Vinelott: And uh I was 15 at the time working on the um on the new university math block at Manchester where I was brought up.
Tom King's Presentation: Mhm.
Tony Vinelott: And uh I got to know the um the lad who what we used to refer to as the tea lad because they had a number of jobs.

01:29:58

Tom King's Presentation: Mhm.
Tony Vinelott: One one was to make sure all the tea was ready for all the workers. But more particularly he used to take all their orders for breakfast and lunch and and go and buy
Tom King's Presentation: Mhm.
Tony Vinelott: those and and have them available. So when they when it was break time the the the was there. And obviously one of the things he would also do was give him the their bookie money.
Tom King's Presentation: Mhm. Mhm.
Tony Vinelott: So he would also go down the bookies and um he he would he would he would set up all their bets for them and obviously when they at the end of the day he'd pay them all
Tom King's Presentation: Mhm.
Tony Vinelott: out and he then realized that um you know there was a probably a better way of doing this. So he'd take the bets, he'd work out what the situation was and then but he never placed the bets with the bookie. He just so he was keeping the difference himself
Tom King's Presentation: and and and I actually don't know if there's anything wrong with that really.

01:31:02

Tony Vinelott: legally except the fact he wasn't licensed to be a better
Tom King's Presentation: Well, leg legally there is, but but for some reason morally I'm okay with it.
Tony Vinelott: bookie.

Tom King's Presentation: I think I think I think as as long as
Tony Vinelott: Anyway, needless to say,
Tom King's Presentation: you
Tony Vinelott: it all backfired to on one occasion when the amount he had to pay out was more than he got in,
Tom King's Presentation: well
Tony Vinelott: which was unusual and and so they real and he wasn't able to pay them. So, so they found out what he'd been doing.
Tom King's Presentation: well in that in that in that in that in that in that case then because other otherwise he had a good touch there didn't he?
Tony Vinelott: And he did he
Tom King's Presentation: He was too
Tony Vinelott: did and he was he was he was a lot older than me.
Tom King's Presentation: greedy.
Tony Vinelott: He was 16. I was only 15. However, he he he did come out of hospital some two months later and he had this s*** beaten out of him and I thought, "Yeah, that's actually quite a good lesson in life. If you promise to deliver something, perhaps it's better to do

01:31:56

Tom King's Presentation: I think so. Yeah.
Tony Vinelott: it.
Tom King's Presentation: So I I I don't know if I'm getting the right information here, but it looks to me like like VC and this is I wouldn't be if this is what if this is if this is actually what it does and it might I might be wrong so I might be speaking too soon but it looks to me like VCTs conveniently just break even as a as a as as a as a as a as a as a as a as a sector.
Tony Vinelott: Right. Okay.
Tom King's Presentation: So as as in as in he don't you don't pay any tax you know so you get your tax so you you
Tony Vinelott: Yeah.
Tom King's Presentation: you but but
Tony Vinelott: You get you get the 30% tax rebate when you invest the money and you get
Tom King's Presentation: yeah what what what I what
Tony Vinelott: the dividends tax free.

Tom King's Presentation: what I what I what I mean is when it's all added up together the it it doesn't actually look that that the returns aren't actually you know but you get you get you you you you're writing off your tax and you're getting but you I'm just I'm I'm think I'm talking as I'm I'm I'm reading as well so the tax relief is the

01:33:10

Tony Vinelott: Yeah.
Tom King's Presentation: return that's that's that that's kind of how it all uh plays out over over the over 30 years looking
Tony Vinelott: Okay. Well, obviously obviously the five years because you're getting the 30% relief over five years, you're basically getting 6%. And what Cindy would say is on the actual investment,
Tom King's Presentation: Yeah.
Tony Vinelott: you should get you should get another 6%. Half of that in growth and half of that in dividends,
Tom King's Presentation: Yeah.
Tony Vinelott: which of course are taxfree. So your net position should be 12%. But what you're saying is that other 6% is not materialized. In fact, they may well lose the other 6%.
Tom King's Presentation: That's what it that's what that's what that's what that that's what it's basically just as a as a whole over 30 years looking at
Tony Vinelott: Yeah.
Tom King's Presentation: looking looking at looking at all of them which
Tony Vinelott: Mhm.
Tom King's Presentation: is f******
Tony Vinelott: Not great.
Tom King's Presentation: it's it's
Tony Vinelott: Now, what's interesting because when I talked to her,

01:34:06

Tom King's Presentation: It's
Tony Vinelott: I did actually say to her, "Well, Cindy, on the on the basis of the tax rules changing at the end of this year, do you think it's worthwhile investing in VCT?" to which

she obviously says yes because it's part of a living and
Tom King's Presentation: Yeah.
Tony Vinelott: and I said well so you you're not advising your existing clients to switch from BCTs
Tom King's Presentation: Well,
Tony Vinelott: to EIS's and she said well quite and she said well she has actually dabbled a bit
Tom King's Presentation: she she she can
Tony Vinelott: in EIS's and and has never been successful so she's she but as you say she can't really because she's not
Tom King's Presentation: Well, no,
Tony Vinelott: qualified well she
Tom King's Presentation: but the thing is actually I mean I know she's I'm sure she your your friend and everything, but so one of the one of the Okay.
Tony Vinelott: was offended Okay. She wasn't
Tom King's Presentation: So, so one one of one of one of the one of the things that I so what I did when I first fell into this world sort of 10 years ago,

01:34:50

Tony Vinelott: anyone.
Tom King's Presentation: I paid a guy I used to lecture at universities on on on financial risk and I paid him 500 quid a day, one day a week for about two or three years just to and and it was really it was really good because what I would do is it would it was like an education for me but it would just start where I was. So I'd say how does that work?
Tony Vinelott: Yeah.
Tom King's Presentation: How does this work? What about this? What about that? Blah blah blah. Now he he positioned himself as a former vice president of Meil Lynch, but at the time I didn't realize there was thousands of them,
Tony Vinelott: Absolutely.
Tom King's Presentation: you know.
Tony Vinelott: I could have told you
Tom King's Presentation: So I you know I I I thought of you know and about 10 years later I was like hang on a minute
Tony Vinelott: that.
Tom King's Presentation: about 8,000 of vice president.
Tony Vinelott: I did on one occasion actually do a review of a book on barrel edge.

01:35:37

Tom King's Presentation: Okay.
Tony Vinelott: So I had to read the book.
Tom King's Presentation: Uh
Tony Vinelott: But that was many years ago now. probably about 15 years ago.
Tom King's Presentation: uh
Tony Vinelott: It's Yeah, it's quite interesting. Yeah, it's quite an interesting story actually.
Tom King's Presentation: go tell me.
Tony Vinelott: Well, no, just I can't remember it now because so long ago, but no,
Tom King's Presentation: Okay.
Tony Vinelott: I just been the story of Mal Lynch was quite interesting.
Tom King's Presentation: Oh,
Tony Vinelott: It's quite nasty really.
Tom King's Presentation: okay.
Tony Vinelott: They didn't treat each other well.
Tom King's Presentation: Some
Tony Vinelott: So, So, so you would recommend BCTS
Tom King's Presentation: Well, the way that the way that I'm thinking of it now,
Tony Vinelott: then.
Tom King's Presentation: O so the way that so over the over the 25 f****** bloody hell. So on overtaking all the VCTs over 25 years, the average is 0.5% peranom I just share my screen here so you can Yeah.
Tony Vinelott: So what you're really saying there is is that taking the tax into account is that

01:36:51

Tom King's Presentation: Uh uh no that's that's in that's in a that's uh I'm saying so I've said if you take the 30% back and you
Tony Vinelott: just
Tom King's Presentation: and you sell and you sell uh you know you take the thing of selling every 5
Tony Vinelott: Yeah.

Tom King's Presentation: years uh so over five years six hold and then on
Tony Vinelott: Yeah.
Tom King's Presentation: day one the question becomes what is under investment return on top of that uh and then you can see there 25 years
Tony Vinelott: Right.
Tom King's Presentation: plus oh no included uh including tax 3 95% pay included tax strip
Tony Vinelott: Okay.
Tom King's Presentation: 6% roughly so so yeah so you've stripped 6% and you've got somewhere between minus half a percent and plus half a percent.
Tony Vinelott: Yeah. Okay. So,
Tom King's Presentation: So all of it and so this
Tony Vinelott: so all your benefits attacks which is quite interesting because
Tom King's Presentation: is
Tony Vinelott: in actual fact because of the charges on pensions you'll find it's not a lot different
Tom King's Presentation: Uhhuh.

01:37:41

Tony Vinelott: with a pension that the primary benefit of a pension is a
Tom King's Presentation: Well, no. Do you do you know what I'm I what I'm actually thinking and this is this is the uh the the tin
Tony Vinelott: tax
Tom King's Presentation: foil app you know grain potentially but if it's between 0.5% % in the red or in the black. So basically you get your tax back. Rather convenient, isn't it?
Tony Vinelott: Yes. Oh,
Tom King's Presentation: It b because because it basically says to me that it can't be it can't be
Tony Vinelott: yeah.
Tom King's Presentation: not it can't be not worthwhile doing otherwise the companies wouldn't exist you know. So the the underlying companies themselves must be generating economic value otherwise why does the whole enterprise can't just exist. So what it suggests to me is that the the profit is eaten up institutionally because and and that the
Tony Vinelott: Oh yes, absolutely. Which is what happens with
Tom King's Presentation: people Yeah.

Tony Vinelott: pensions.
Tom King's Presentation: And that the pe and that people are Yeah.

01:38:41

Tom King's Presentation: So I think it's a I think it's a load of load of s*** by the look of it really.
Tony Vinelott: It's a slice of hand. Yes. And I say you'll find the pension a lot
Tom King's Presentation: Yeah. So essentially you're lending it says you're lending the money to small UK business for five years in exchange for a
Tony Vinelott: different.
Tom King's Presentation: government subsidy of 6% peranom the business themselves return nothing on average but the subsidy makes the whole thing
Tony Vinelott: Yes.
Tom King's Presentation: rational for a 45% taxpayer is that is that is that is that would you agree with
Tony Vinelott: Yes. Yes. And and there's and the same applies to a pension because of the the the charges they they levy on a pension its out more or less the same.
Tom King's Presentation: So say that again.
Tony Vinelott: If you actually were to purchase,
Tom King's Presentation: So
Tony Vinelott: you know, invest in a pension, the standard, let's say you invested a pension with Scottish widows, because of the charges they levy on you for administering that pension and the charges they levy on

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Tom King's Presentation: yeah.
Tony Vinelott: you for selling it to you in the first place. Because of course, you know, for the first 18 months, all the money that you you give them is paid out to their salespeople in commission.
Tom King's Presentation: Yeah.
Tony Vinelott: So after 18 months of paying into a pension, the net amount of money in your pension is zero. because he paid it all out in commission.
Tom King's Presentation: a 13 months.

Tony Vinelott: Yeah.
Tom King's Presentation: Yeah.
Tony Vinelott: Yeah. So your average pension is 25 years. So if you take it over a 25 year span.
Tom King's Presentation: Yeah.
Tony Vinelott: Okay. But the um and then and and then you're deducting the charges that they make running it and the profit they make out of running it. Then the it's split into a third,
Tom King's Presentation: Huh?
Tony Vinelott: a third and a third. the um the money you're getting is actually your tax money because we've taken the rest of it in commission charges.
Tom King's Presentation: So pension gives you actually the government.

01:40:40

Tony Vinelott: I mean, you obviously get your own money back and that's one of the thirds,
Tom King's Presentation: Yeah.
Tony Vinelott: but the but the gain you get is actually the tax. All all the rest of it is taken by the by the company that's managing the managing it for you. all the growth and all the dividends is all taken by them.
Tom King's Presentation: Uhhuh.
Tony Vinelott: So, so you give them money for 25 years, they give you the same amount of money back and and and then they they give you the tax.
Tom King's Presentation: Yeah.
Tony Vinelott: You have to say, why is the government doing this? It's because you know it's for the same reason as if they give you the money for the
Tom King's Presentation: Sure.
Tony Vinelott: YTS's is there there are if you take the case of EIS and and so on is than VCTS it's because there are investment there are funding gaps so traditionally we had we have two methods of funding a company you borrow the money off well you fund it yourself obviously and and and and then you

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Tom King's Presentation: Okay.
Tony Vinelott: can add to that by borrowing money from a bank using your house or whatever as a guarantee and and then you you you can um list it on the sock exchange but but the difference from there is naugh to 50 million this you can't justify
Tom King's Presentation: Yeah.
Tony Vinelott: listing anything on the sock exchange of less than 50 million the reason the AIM market was
Tom King's Presentation: Uhhuh.
Tony Vinelott: created okay and the person who was chairman of the committee that actually set that up was me just in case you didn't in 1994.
Tom King's Presentation: Wow.
Tony Vinelott: um was um was to try and enable people to to list a company uh and only cost them 30 only require 35 million. So to fill that 15 million gap between EIS's, VCTS and then how do you get from there to the next stage of funding uh which which is your full listing. Now, one of the problems is the stock market was itself, the stock exchange was extremely unhelpful. Um, and and so were the lawyers. So, they they still insisted on doing things like long accounts, you know, long reports and and and having stuff printed and stuff, which were a lot of the costs.

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Tony Vinelott: Um, I don't know what the costs are now because I'm going back, you know, 30 years, but but then it would cost around £110,000 to list a company. And that's a lot of f******
Tom King's Presentation: Good luck.
Tony Vinelott: dough when you consider the overhead of continuing to have it listed.
Tom King's Presentation: Yeah.
Tony Vinelott: Um, you know, like the the auditors and the um reports and paying dividends and having all those all that crap hanging around and having shareholders hanging around. And then the other purpose of the aid market was was to encourage people to to actually list
Tom King's Presentation: Mhm.
Tony Vinelott: list companies um without losing full control because they could still retain 75% of the company which you obviously can't do if you're going to put it onto a full listing. So it's in part to do with control and in part to do with um with with having a

reduced cost of funding that that next level of growth because the idea of the a market was to be a transition before you went into a full listing.

01:44:04

Tony Vinelott: Um so uh so the the project which I ran for two years which created the end market was funded by the Scottish development agency. In fact they gave us two two million quid
Tom King's Presentation: Do you know what surpris you on a separate note? There's it seems there's less people doing VCTs than there is EIS and CIS. Can't be right, can it?
Tony Vinelott: Is that because there when you when you say there less people doing
Tom King's Presentation: Well, it says it says the
Tony Vinelott: BCP do you mean even people doing them through funds or do you mean investing
Tom King's Presentation: HMRC.
Tony Vinelott: direct
Tom King's Presentation: H, of course. Yeah. So, that's I was thinking that can't be right, but
Tony Vinelott: because there's a very established you know VCT fund market um
Tom King's Presentation: yeah.
Tony Vinelott: which which obviously is what's being sold by by your financial advisors particularly
Tom King's Presentation: Yeah.
Tony Vinelott: now that pensions are no longer as as accessible if you like for high net worth or high net income people and so they've gone to BCTs as an

01:45:01

Tom King's Presentation: Uhhuh.
Tony Vinelott: alternative
Tom King's Presentation: So the a really good outcome or output of this is that basically VCTS are a waste of time. Well, not no not you know well they're they're certainly not what the not they're not what they don't do anything like what you
Tony Vinelott: Yes.
Tom King's Presentation: what what the people purchasing them expect them to do do

they if you're if you're only
Tony Vinelott: No. No. I would agree.
Tom King's Presentation: getting 6% including if you basically you're getting 6% per year that's
Tony Vinelott: Yeah. Yeah. Taxfree.
Tom King's Presentation: it t tax taxree but six six% per year tax
Tony Vinelott: So you
Tom King's Presentation: free is the equivalent to what with paying tax 8% Oh.
Tony Vinelott: well if you're paying 45% tax it's not bad.
Tom King's Presentation: Oh, yeah. Okay.
Tony Vinelott: I mean don't forget that's the audience you're talking about is there's only people in that bracket is going to be or should be
Tom King's Presentation: Yeah.
Tony Vinelott: investing in
Tom King's Presentation: Yeah, of course.

01:45:56

Tom King's Presentation: But it's the the
Tony Vinelott: BCTS.
Tom King's Presentation: the and so someone gets someone's got a 50 grand tax bill. They put 50 grand into VCTS. They get 30% back and then they sell it and they get their money back. So they're basically wiping off the tax bill.
Tony Vinelott: So, so I put 200 grand in, I get 60 grand
Tom King's Presentation: Yeah.
Tony Vinelott: back.
Tom King's Presentation: But if you've got if you if you I'm still maybe my brain's mushy. I'm still So if someone's got a if someone's got a 50 grand tax
Tony Vinelott: Yeah,
Tom King's Presentation: bill,
Tony Vinelott: they'd have to put something like 180 grand in.
Tom King's Presentation: I put 180 grand in. So it's actually not
Tony Vinelott: Yeah.
Tom King's Presentation: It's not that good, is it?
Tony Vinelott: Well, that's what you're saying. It's not that good.
Tom King's Presentation: Yeah. You know, I'm just I'm just I'm just think I'm just I'm just think I'm just thinking that that So, you know, if you if you've got a if you've got a a

01:47:02

Tony Vinelott: hasn't hasn't turned out to be that good for me.
Tom King's Presentation: bit No. Oh, well, no,
Tony Vinelott: It was a point I made at the start of this
Tom King's Presentation: but I don't think it's turn I I don't think it's I don't think it's turned out to be that good for for for
Tony Vinelott: conversation.
Tom King's Presentation: anyone. And and I'm just I'm just thinking how about the framing of of of what we're because
Tony Vinelott: Yeah.
Tom King's Presentation: essentially the risk because what you what your what the a good way to compound the risk would be to say if you put money into a VCT as opposed to EIS then you're going then
Tony Vinelott: Uh
Tom King's Presentation: for all for argument sake you're going to get you're going to 30% back. So,
Tony Vinelott: yeah.
Tom King's Presentation: um, so the actual but you have to you have to put quite a and that's it. That's that that that that's
Tony Vinelott: Oh,
Tom King's Presentation: that's
Tony Vinelott: don't don't don't forget it's capital gains taxree and it's also um dividend tax free but but yes.

01:48:08

Tom King's Presentation: Yeah, but I'm I'm I'm talking I'm talking about the doing it your approach.
Tony Vinelott: Okay.
Tom King's Presentation: You buy you you're in and out every five years. You you you get any 30% and you know you you're and if you're lucky you're you you break you break even and if you if you're unlucky you you you you don't and
Tony Vinelott: Yeah, sure. Well,

Tom King's Presentation: then come
Tony Vinelott: let's face it, you do hope that if you're going to do it through a fund manager that you're going to get better than the average.
Tom King's Presentation: Yeah,
Tony Vinelott: Now I don't know what the evidence is on that because ironically if you look at discretionary fund managers
Tom King's Presentation: you.
Tony Vinelott: in the stock market then you know on on average they don't do much better than a footy tracker.
Tom King's Presentation: Um, but so for examp so so what you could what you could say is if you if you and I don't know if you can say so if somebody put 100 grand into a VCT they got 30% back and then they get 100 grand back at the end which is the likely outcome then basically they've got they've got a they've got a 30 they've got a 30 they've got a six you got 30% back over over five years If if if you put if you put that 100 grand into an

01:49:20

Tony Vinelott: Yeah.
Tom King's Presentation: SEI into a EAS and it f and it
Tony Vinelott: Yes. Mhm.
Tom King's Presentation: failed,
Tony Vinelott: Mhm.
Tom King's Presentation: then you're going to lose you're going to lose 30 grand. So the risk between the I might be conceptually getting this way wrong,
Tony Vinelott: Mhm.
Tom King's Presentation: but the risk between the two of them is basically 60%.
Tony Vinelott: Yes.
Tom King's Presentation: Is that is that logical to think of it that way?
Tony Vinelott: Yes. I mean, you're taking an isol an isolated one versus an average, but yes, I agree.
Tom King's Presentation: Uh and so really so the pro the problem with the VCTs is you get it's you you can't actually obviously you could if what so is there a limit what you can put in every year there is isn't there what's the
Tony Vinelott: 200,000.
Tom King's Presentation: limit 200,000 Right.
Tony Vinelott: Yeah.

Tom King's Presentation: So, but if so, so actually if you put 200,000, you can only get 60 grand back and so any
Tony Vinelott: Yes.

01:50:30

Tom King's Presentation: so so anybody and so anybody paying more than 60 which is great if your tax bill is 60 grand and you've got liquidity.
Tony Vinelott: Yes. Yes.
Tom King's Presentation: So actually VCTs are perfect for someone who doesn't want to
Tony Vinelott: Yes.
Tom King's Presentation: take any more risk,
Tony Vinelott: Mhm.
Tom King's Presentation: but they just get their tax back and they've got the liquidity and they pay 60 grand in
Tony Vinelott: Yeah,
Tom King's Presentation: tax.
Tony Vinelott: you need a million pounds to play because you because you need to put your
Tom King's Presentation: Why do you need a million pound to play?
Tony Vinelott: 200 grand in every year for five years and then you can start selling the first lot of 300 grand to fund the the next year.
Tom King's Presentation: Right. Yeah.
Tony Vinelott: So you need a million.
Tom King's Presentation: So you need So you need So you need So you need So you need a million pound to play and you need and you need and you need
Tony Vinelott: You need a million to play of whatever level, you know.

01:51:11

Tony Vinelott: I mean,
Tom King's Presentation: Yeah.
Tony Vinelott: you could you could play pay you could play half a million pound and then you
Tom King's Presentation: No, I guess what I'm I guess what I'm saying is that there's a

there's a there's a ceiling there's a ceiling
Tony Vinelott: get
Tom King's Presentation: in which it's no longer it no long it no longer does the job of if if the job is so you don't pay tax then it can do that job up to a tax bill of 60
Tony Vinelott: Yes.
Tom King's Presentation: grand as long as you've got a million pound to play. If your tax bill is above 60 grand,
Tony Vinelott: Yeah,
Tom King's Presentation: then it can't it's it's doesn't
Tony Vinelott: but 60 grand is 60 grand.
Tom King's Presentation: do.
Tony Vinelott: Yes. I mean, if you're if you're an ultra ultra rich individual, you know, your beckhams and whatever,
Tom King's Presentation: No, but surely but surely.
Tony Vinelott: then 60 grand is is is kind of irrelevant,
Tom King's Presentation: Sure. But then if if you're if you're if you're paying what's the tax on 250 a year

01:51:56

Tony Vinelott: immaterial.
Tom King's Presentation: salary?
Tony Vinelott: Um well, just averages out about 30%. That'll be more than that. About 35% of um just just because you lose all your allowances. So, um you're just going peanuts. After 50 grand, you're paying 40% and after 150 grand, you're paying 45%.
Tom King's Presentation: So you so yeah it's saying it's saying uh 125 grand is the six What?
Tony Vinelott: Yeah,
Tom King's Presentation: What?
Tony Vinelott: there's loads of tax tax calculators. I'm sure you can bang the numbers into those pretty quick.
Tom King's Presentation: Yeah. Yeah. I'm trying I'm trying to establish like the the if if somebody just wants to Yeah. Because because that's the thing. If you if you if you're
Tony Vinelott: It's going to be about 90 grand, isn't it? 90
Tom King's Presentation: uh you know the the bit the bit that I'm the bit that I'm wrestling with is
Tony Vinelott: grand.

Tom King's Presentation: that you're you bit you're yeah you're basically writing off your tax as long as long as your tax is below 60 grand you can you can write off your tax but if your tax is above 60

01:53:12

Tony Vinelott: Yeah.
Tom King's Presentation: grand then then then it's And it reach it reaches its limit of usefulness,
Tony Vinelott: Well, yes. Yeah.
Tom King's Presentation: right?
Tony Vinelott: But but you know, even if you your tax is 100 grand, if you can reduce that down to 40, I think you're quite happy.
Tom King's Presentation: No, no.
Tony Vinelott: Most people most people are happy to pay some tax.
Tom King's Presentation: I'm I'm
Tony Vinelott: They just don't want to pay an exorbitant amount of tax.
Tom King's Presentation: sure
Tony Vinelott: I'm merely saying if you're an ultra rich individual then 60 grand becomes immaterial.
Tom King's Presentation: becomes becomes becomes becomes immaterial.
Tony Vinelott: Yeah.
Tom King's Presentation: So basically 100 Yeah.
Tony Vinelott: But not not at 100 grand or even 200 grand. It's still material.
Tom King's Presentation: Yeah.
Tony Vinelott: You still knock your tax down by a third.
Tom King's Presentation: Uhhuh.
Tony Vinelott: I think most people would be happy with
Tom King's Presentation: But yeah,
Tony Vinelott: that.
Tom King's Presentation: but what I but what I but what what I mean is it's it's there's it's not about it's it's about getting your tax bill down.

01:54:04

Tom King's Presentation: It's not about having any growth or it's it's not it's not going to it's it's just a mechanism to get your tax to get to get your tax bill down.
Tony Vinelott: Yeah.
Tom King's Presentation: I think I think that line it said here where where it's uh what does it say? It said uh I'm going to look it was brilliant. Uh where is it?
Tony Vinelott: All right.
Tom King's Presentation: You're essentially any money your your money to a small business for 5 years in exchange for a subsidy of 6%
Tony Vinelott: Yeah,
Tom King's Presentation: per perom and and that's it.
Tony Vinelott: yeah, yeah.
Tom King's Presentation: That's the deal.
Tony Vinelott: Yeah, yeah. Now, as it happens, the the deal you've kind of semi-promised by your financial advisor is another 6% on top of that. But I say, you know, don't forget there is no capital gains tax and there's and there's there's no there there's no tax on the dividends. So the the benefit is slightly above that but yeah all in all it's about

01:55:02

Tom King's Presentation: Uhhuh.
Tony Vinelott: that. Yeah.
Tom King's Presentation: Uhhuh. Okay. Again,
Tony Vinelott: Yeah.
Tom King's Presentation: I'm I'm just I'm I'm think I'm thinking of like how how to frame the the prop the proposition of
Tony Vinelott: I agree.
Tom King's Presentation: of of what we're doing
Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: against.
Tony Vinelott: I I'll have to disappear soon otherwise I'll I should be extremely
Tom King's Presentation: Yes. No, me. Yeah. Well, I don't I definitely don't want that to happen, Tony. So, let's uh we can we can wind up there.
Tony Vinelott: unpopular.
Tom King's Presentation: I think my I think my biggest takeaway actually my learned a fair bit about VCTs and the motivations behind them and that's very useful. The biggest

takeaway from my point of view is first of all about the bits and pieces with the deumulation tool in terms of planning certain things that you're expected to do
Tony Vinelott: Yeah.
Tom King's Presentation: the transferring of different assets and then from my side it's about how we can structure the agreement between unlock unlock access and the various companies to ensure preferential shares and to ensure there's a mechanism in place that allows us to essentially force the crystallization of

01:56:15

Tony Vinelott: Yeah, I'll tell because I feel, you know,
Tom King's Presentation: losses.
Tony Vinelott: one of the big concerns with people is if they're going to invest directly rather than through a fund, how did how did they get out you know I'm more Yeah.
Tom King's Presentation: Yeah, leave that one with me, Tony.
Tony Vinelott: Yeah. Okay.
Tom King's Presentation: That's that that that's that's my uh Well,
Tony Vinelott: Well, it's your area of expertise. I shall leave it with
Tom King's Presentation: yeah, that's what that's that's that's what that's what I'm going to go uh and work work on.
Tony Vinelott: you.
Tom King's Presentation: Now, how can how could you in in a few years time
Tony Vinelott: Well, you don't want to end up with a is a you know a large portfolio of mediocrity
Tom King's Presentation: force?
Tony Vinelott: mediocre companies that you may or may not be able to offload.
Tom King's Presentation: Uh yeah. And my my job now is to make sure that we can offload them.
Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: And and that and again,

01:56:57

Tony Vinelott: Yeah.
Tom King's Presentation: that's like a real value ad to the to the to the to the to the to the

to the
Tony Vinelott: I think so. Yeah.
Tom King's Presentation: offer, I think, that we're putting that we're putting together.
Tony Vinelott: Yeah. Yeah.
Tom King's Presentation: So fabulous,
Tony Vinelott: Okay.
Tom King's Presentation: fabulous, fabulous,
Tony Vinelott: Right.
Tom King's Presentation: fabulous.
Tony Vinelott: Well,
Tom King's Presentation: Thank you very much, Tony,
Tony Vinelott: you too.
Tom King's Presentation: and en enjoy the rest of your weekend.
Tony Vinelott: Well, thank you. Thank you. Thank you.
Tom King's Presentation: Take care.
Tony Vinelott: Hope the weather picks up. I think it's supposed to pick up Sunday afternoon.
Tom King's Presentation: Doesn't make any difference to me. I'll still be a jumper and
Tony Vinelott: I thought, well,
Tom King's Presentation: a It
Tony Vinelott: you told me this bloody spring would come. I've got this jumper back
Tom King's Presentation: did.
Tony Vinelott: on.
Tom King's Presentation: It It showed its face, but then it's it's it's disappeared again.

01:57:32

Tony Vinelott: I've already got Sandy saying to me, "Is the weather always like this in March?" And I said, "Well, I think it's normally a bit
Tom King's Presentation: Well, the funny the running joke in my house is when we moved here, it was all very uh I said,
Tony Vinelott: warmer.
Tom King's Presentation: "Right, that's it. We're off. Bump." You know, we did it within a short space of time. And I'd said, "Don't worry. It only really rains in March. In April, sorry." I said, "It only really rains in April." And I said, and I said, "And it's a good job it does because it's a beautiful green island and the island needs it. So, it keeps everything green." And so so so so the so the running joke since since since about the middle of

September's been it only it only rains in April does it?
Tony Vinelott: Yeah. Well, April can last a very long time.
Tom King's Presentation: Yeah been a it's been a long April.
Tony Vinelott: Yes. Okay.
Tom King's Presentation: Excellent.
Tony Vinelott: Take care and all the best to Claudia.
Tom King's Presentation: You Yeah. Take care.
Tony Vinelott: All right.
Tom King's Presentation: Bye-bye.
Tony Vinelott: Cheers.

Transcription ended after 01:58:32

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